Unit 4 | global business, models and judgement

Pearson Edexcel IAL Business • WBS14 • Detailed learning cards, worked examples and developed evaluation

4.3.1 Globalisation

Growth and development • trade • FDI • integration • protectionism • blocs

4.3.2 Global markets and business expansion

Market and production choice • entry routes • international combinations • currency and skills

4.3.3 Global marketing

Global/local balance • marketing orientations • 4Ps • Ansoff • Porter • niches • culture

4.3.4 Global industries and MNCs

Local/national impacts • stakeholder ethics • supply chains • MNC power and control

BLUE: knowledge/data GREEN: opportunities PINK: limitations PURPLE: evaluation and connections

Learn the definition, explain the mechanism and apply the model. Then compare feasible alternatives and judge the conditions.

Grade A reasoning | think globally, apply precisely

Use PECAN to develop a business argument; the quality of the reasoning matters more than the number of points.

Knowledge → application → mechanism

Define the term accurately.

Use the exact industry, customer, country evidence, costs or constraints.

Explain how the change affects demand, cost, cash, quality, people or market access.

Connect the effect to the decision and objective.

Wide-ranging evaluation

Choose distinct, relevant arguments: market fit, industry rivalry, landed costs, currency, cash timing, implementation, culture, skills, suppliers, ethics and regulation.

Assess the dominant constraint and its timeframe. A generic “quantitative versus qualitative” contrast does not explain the actual trade-off.

Use earlier-unit knowledge

Unit 4 can draw on Units 1-3. Apply PED/YED, the 4Ps, contribution, cash flow, productivity, ratios, investment appraisal and change where they explain the global decision.

Worked supporting techniques are identified as applications rather than additional named Unit 4 models.

Conditional judgement

Recommend an option relative to a credible alternative.

Explain why one effect matters most here.

State what evidence, threshold or change would alter the recommendation.

Separate firm, host-country and stakeholder outcomes.

4.3.1 | Globalisation

SECTION MAP • Strategic links to the detailed teaching cards

Topic 1

Economy types; changing power; GDP/per capita and HDI; trade and employment

Topic 2

Exports/imports; specialisation; FDI and growth

Topic 3

Liberalisation/WTO; politics; logistics; MNCs; investment; migration; labour; structural change

Topic 4

Reasons; tariffs; quotas; rules/subsidies; business responses

Topic 5

Integration depth; EU/single market; ASEAN; NAFTA/USMCA; member/outsider effects

Global opportunity → market/industry fit → resource and implementation needs → cash/return → stakeholder consequences → conditional decision.

4.3.1 | Globalisation

DETAILED STUDY CARDS • Definition, opportunities, limitations, applied mechanism and judgement.

4.3.1.1a Developed, developing and emerging economies

Developed economies generally have high incomes, diversified production and established institutions. Developing economies tend to have lower incomes and uneven infrastructure. Emerging economies are rapidly transforming and integrating with world markets; categories overlap and vary.

Benefits / opportunities

Established markets may offer affluent buyers and reliable services; emerging markets can offer growth and expanding consumer groups.

Drawbacks / threats

Developed markets may be saturated; emerging/developing markets can contain major income, infrastructure and institutional differences.

Evaluation

Do not treat a country label as a forecast. Compare the relevant customer segment, region, institutions and competitive conditions.

Growing urban incomes → **more discretionary purchases** → **potential premium demand** → **targeted market opportunity.**

4.3.1.1b Changing economic power

Growing economic power means greater influence over production, consumption, trade and investment. Parts of Asia, Africa and other regions can become important markets, suppliers, investors and competitors.

Benefits / opportunities

Expanding middle-income groups create sales opportunities; new production and finance centres broaden business choices.

Drawbacks / threats

New competitors can challenge existing brands; regional averages hide unequal access to spending power and infrastructure.

Evaluation

Use case evidence rather than assuming every country or household in a region benefits equally or follows one growth path.

Industrial investment expands skills → **more capable suppliers** → **deeper supply chains** → **new sourcing options.**

4.3.1 | Globalisation

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4.3.1.1c Growth, trade and employment

Economic growth is an increase in real output over time. It may change demand, employment and trade opportunities; growth of one country can create both opportunities and competition for foreign firms.

Benefits / opportunities

Higher real income can expand demand; new jobs and supplier orders can build purchasing power and business capability.

Drawbacks / threats

Labour shortages and input prices can rise; obsolete industries may lose jobs and firms may face stronger foreign rivals.

Evaluation

Distinguish real growth from inflation and population growth. Effects depend on income distribution, skills and the product's income elasticity.

New manufacturing jobs → **more household income** → **demand for services rises** → **local firms gain potential customers.**

4.3.1.1d GDP and GDP per capita

GDP measures the value of final output produced within an economy during a period. GDP per capita = GDP ÷ population. Real GDP adjusts for price changes; nominal GDP does not.

Benefits / opportunities

Total GDP indicates aggregate scale; real GDP per capita helps assess average output/income trends.

Drawbacks / threats

GDP is not household disposable income; averages hide inequality, unpaid activity, environmental costs and regional variation.

Evaluation

Use consistent currency, year and price basis; a large low-income country can have high GDP but low average spending power.

GDP grows faster than population → **average real output rises** → **potential spending capacity improves** → **investigate target demand.**

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4.3.1.1d Human Development Index

HDI combines dimensions of health, education and material living standards. Its indicators include life expectancy, schooling and GNI per capita; it is an index from 0 to 1, not a business sales forecast.

Benefits / opportunities

Adds skills/health context beyond GDP; helps question whether growth translates into broader development.

Drawbacks / threats

A national index hides inequality and local conditions; it does not directly measure legal risk, distribution access or demand for a product.

Evaluation

Combine HDI with current labour, infrastructure and target-market evidence. HDI uses GNI per capita rather than GDP as its income component.

Better education/health → **stronger workforce capability** → **higher potential productivity** → **more attractive skilled production.**

4.3.1.2a Exports and imports

Exports are goods/services sold abroad; imports are bought from abroad. Exporting extends sales internationally without necessarily owning foreign production.

Benefits / opportunities

Larger reachable demand supports growth and scale; imports give access to inputs, products and expertise unavailable locally.

Drawbacks / threats

Transport, currency, standards and payment risk raise complexity; foreign suppliers can displace domestic competitors.

Evaluation

Compare additional contribution with logistics, compliance, promotion and working-capital costs; exporting is not automatically FDI.

Export a proven product → **larger sales volume** → **spread fixed costs** → **potential lower average cost.**

4.3.1 | Globalisation

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4.3.1.2b International specialisation

Specialisation concentrates a country or business on particular activities. Differences in resources, skills, technology and relative costs can support trade and global division of production.

Benefits / opportunities

Repetition and focus improve skills/scale; firms can source specialised inputs and concentrate on core strengths.

Drawbacks / threats

Dependence on narrow products or suppliers raises exposure to shocks; some skills and industries may decline.

Evaluation

Assess dependency and ability to adapt. Comparative advantage concerns relative opportunity cost, not simply the lowest wage.

Specialist cluster develops → **shared skills and suppliers** → **better quality/efficiency** → **stronger export competitiveness.**

4.3.1.2c Foreign direct investment

FDI is investment establishing a lasting interest/control in a business in another economy, such as a factory or acquisition. It differs from simply buying exported goods or passive portfolio shares.

Benefits / opportunities

Gives access to markets, resources and control; host economies may gain capital, employment and capabilities.

Drawbacks / threats

Large sunk commitments create political/currency and integration risk; profit repatriation can limit host-country retained gains.

Evaluation

Compare greenfield investment with acquisition, exporting, licensing or partnership; ownership alone does not guarantee knowledge transfer.

Build foreign factory → **local production and sales** → **reduced delivery distance** → **deeper market presence.**

4.3.1 | Globalisation

DETAILED STUDY CARDS • Definition, opportunities, limitations, applied mechanism and judgement.

4.3.1.3a Trade liberalisation and WTO

Trade liberalisation reduces barriers to cross-border trade. The WTO provides rules, negotiations, monitoring and dispute procedures for its members; it is not a world government or a guarantee of barrier-free trade.

Benefits / opportunities

Lower barriers reduce landed costs and expand market access; clearer rules can reduce uncertainty.

Drawbacks / threats

Domestic firms face stronger rivalry; adjustment costs and uneven enforcement can limit benefits.

Evaluation

Consider the firm's position as importer, exporter or domestic rival. Rules and agreements do not remove logistics, standards or political risk.

Tariff falls → **imported inputs cost less** → **unit cost falls** → **opportunity to improve margin or reduce price.**

4.3.1.3b Political change and globalisation

Political decisions can open economies, privatise activities, allow foreign ownership or cooperate through trade agreements. The direction can reverse through conflict or restrictions.

Benefits / opportunities

Access to formerly restricted markets creates growth and investment options; greater stability can improve confidence.

Drawbacks / threats

Policy reversals, sanctions or ownership restrictions can strand assets and disrupt supply.

Evaluation

Assess policy credibility, implementation and reversibility, not the announcement alone.

Market opens to foreign entrants → **firm can invest locally** → **build distribution** → **expand reachable sales.**

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4.3.1.3c Transport and communication costs

Cheaper, faster freight and digital communication reduce coordination and distance costs. Containerisation, logistics systems and remote collaboration support international value chains.

Benefits / opportunities

Smaller firms can reach foreign customers; firms coordinate specialised production across locations.

Drawbacks / threats

Delays, cyber risks and long chains still matter; cheap communication cannot remove language or service complexity.

Evaluation

Compare total delivered cost, reliability, returns and time zones; distance has not become irrelevant.

Digital order coordination → **lower transaction effort** → **more feasible foreign sourcing** → **wider supplier choice.**

4.3.1.3d Growing significance of MNCs

An MNC owns or controls business operations in more than one country. It can coordinate resources, brands and supply chains internationally.

Benefits / opportunities

Global networks spread knowledge, capital and purchasing scale; subsidiaries can connect local firms with export markets.

Drawbacks / threats

Concentrated power can weaken suppliers' bargaining position; cross-border complexity can obscure accountability.

Evaluation

Scale creates potential, not guaranteed efficiency or social benefit; outcomes depend on conduct and linkages.

MNC expands supplier network → **local supplier wins orders** → **invests in capability** → **joins international value chain.**

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4.3.1.3e Investment flows deepen integration

Cross-border direct investment links national production, finance and management. Successful projects can attract further suppliers and reinvestment.

Benefits / opportunities

FDI finances productive assets and market access; spillovers may improve local skills and supplier capability.

Drawbacks / threats

Footloose investment may leave when conditions change; reliance on foreign decisions can reduce local autonomy.

Evaluation

Differentiate the initial capital inflow from recurring local value added and later profit outflows.

Anchor investor establishes plant → **suppliers locate nearby** → **cluster develops** → **country becomes more integrated.**

4.3.1.3f Migration and business

Migration is movement of people within/between economies. It can increase labour supply, transmit skills and create diaspora customer/supplier networks.

Benefits / opportunities

Fills vacancies and introduces expertise; migrant demand and networks create new market opportunities.

Drawbacks / threats

Training/integration costs and skill loss in origin economies can arise; social/political responses may affect stability.

Evaluation

Assess skills, legal access, retention and community effects; more workers do not automatically solve a skill mismatch.

Specialist migrants fill engineering roles → **bottleneck eases** → **production expands** → **orders delivered more reliably.**

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4.3.1.3g Global labour force

The global labour force comprises people available for work across economies. Education, participation, migration and integration change the available skill pool.

Benefits / opportunities

Firms gain wider recruitment and production-location choices; complementary skills support innovation.

Drawbacks / threats

Competition for scarce specialists can raise wages; a large population does not establish job-ready capability.

Evaluation

Compare skills and productivity with wage levels; availability must be relevant to the specific task and location.

More trained technicians enter labour market → **recruitment constraints ease** → **expansion becomes feasible** → **capacity grows.**

4.3.1.3h Structural change

Structural change is a shift in an economy's sectoral composition and employment, such as agriculture toward manufacturing/services or toward digital production.

Benefits / opportunities

Creates demand for equipment, skills and new services; productivity growth can support higher incomes.

Drawbacks / threats

Declining sectors suffer job displacement and obsolete assets; retraining and infrastructure may lag.

Evaluation

Benefits depend on transferable skills and new job quality; industrialisation is not a uniform sequence for every economy.

Manufacturing grows → **demand for logistics and business services** → **supplier opportunities** → **broader business ecosystem.**

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4.3.1.3i Business consequences of globalisation

Globalisation is increasing integration/interdependence of economies through trade, investment, technology and people. It changes demand, competition, sourcing and risk.

Benefits / opportunities

Bigger markets and specialised suppliers support growth/scale; international diversification may spread some risks.

Drawbacks / threats

Rivalry, currency exposure and distant supply disruptions intensify; ethical oversight becomes harder.

Evaluation

Evaluate net effect for the specific firm and stakeholders; globally correlated shocks limit risk spreading.

Source a specialist input abroad → **improve product quality** → **strengthen offer** → **also create dependence on foreign logistics.**

4.3.1.4a Why governments protect industries

Protectionism uses measures favouring domestic activity over foreign competition. Motives include infant industries, jobs, strategic supply/security, unfair trade concerns and external-balance pressures.

Benefits / opportunities

Temporary protection can allow capability building or preserve critical supply; domestic producers gain time to adjust.

Drawbacks / threats

Consumers/input users face higher costs; retaliation and weaker incentives can damage competitiveness.

Evaluation

Judge duration, conditions and opportunity cost. Protecting inefficient firms indefinitely can transfer costs to buyers and taxpayers.

Temporary protection shields new producer → **time to learn and scale** → **potential competitive capability** → **support can later be removed.**

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4.3.1.4b Tariffs

A tariff is a tax on imported goods. A percentage tariff applies to the specified customs value; a specific tariff is a set amount per unit.

Benefits / opportunities

Domestic substitutes may gain demand; government collects revenue on taxed imports.

Drawbacks / threats

Importers pay higher landed costs; customers may pay more and exporters may face retaliation.

Evaluation

Who bears the burden depends on contracts, exchange rates and pricing power; the foreign exporter does not automatically pay the full tax.

Tariff raises imported input cost → **margin squeezed or price raised** → **demand/competitiveness may weaken** → **reassess sourcing.**

4.3.1.4c Import quotas

A quota limits the quantity or value of imports allowed over a period. It restricts supply rather than setting a tax rate.

Benefits / opportunities

Domestic producers may gain sales; limits can protect strategic capacity in the short term.

Drawbacks / threats

Scarcity can raise prices and reduce choice; import-dependent firms face allocation and continuity problems.

Evaluation

Quota rents may accrue to licence holders, not government; compare effectiveness with welfare and retaliation costs.

Quota binds → **fewer foreign units available** → **distributors compete for supply** → **higher acquisition cost or lost sales.**

4.3.1 | Globalisation

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4.3.1.4d Legislation as a trade barrier

Licensing, product standards, certification, local-content or administrative rules can make entry difficult. Legitimate safety/environmental standards may also raise compliance cost.

Benefits / opportunities

Rules can protect safety/quality and give compliant firms confidence; local producers may face less import rivalry.

Drawbacks / threats

Duplicate testing and slow approvals delay launches; small exporters may struggle to spread fixed compliance costs.

Evaluation

Do not assume every standard is disguised protectionism; distinguish public purpose from discriminatory application.

Extra certification required → **launch delayed and cost rises** → **cash tied up** → **reduce expected return.**

4.3.1.4d Domestic subsidies

A subsidy is government support lowering a recipient firm's cost or supporting revenue/investment. It may enable domestic firms to compete more strongly.

Benefits / opportunities

Recipient can invest, lower prices or survive a temporary shock; wider supply capability may develop.

Drawbacks / threats

Taxpayer opportunity cost, distortion and dependency arise; foreign rivals may face unfair pressure or countermeasures.

Evaluation

Check whether support creates lasting productivity or only masks losses, and whether benefits exceed public cost.

Grant funds efficient equipment → **production cost falls** → **lower viable price** → **domestic firm's competitiveness improves.**

4.3.1 | Globalisation

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4.3.1.4e Responding to protectionism

Businesses can adjust sourcing, pricing, product positioning, distribution or production location within applicable rules. Responses have different costs and time horizons.

Benefits / opportunities

Local production may reduce some border exposure; differentiation may preserve sales despite higher price.

Drawbacks / threats

Relocation needs investment and can lose scale; legal/rule changes and retaliation create continuing risk.

Evaluation

Calculate full landed and relocation cost and rules of origin; avoid assuming a foreign factory automatically bypasses every barrier.

Tariff reduces export margin → **compare local assembly** → **possible lower border cost** → **new fixed/coordination costs arise.**

4.3.1.5a Trading blocs and integration

A trading bloc reduces barriers among participating economies. A free-trade area removes many internal barriers but members retain external trade policies; a customs union adds a common external tariff; a single market reduces wider movement barriers.

Benefits / opportunities

Larger accessible markets encourage scale and integrated sourcing; common rules may reduce duplication.

Drawbacks / threats

External firms may face discrimination; members accept rules and stronger internal competition.

Evaluation

Different blocs have different depth and exceptions. Membership does not mean all trade is costless or all regulations identical.

Internal barriers fall → **easier regional distribution** → **higher reachable volume** → **potential scale economies.**

4.3.1 | Globalisation

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4.3.1.5a EU, ASEAN and NAFTA context

The specification names the EU/single market, ASEAN and NAFTA. The EU exemplifies deeper integration; ASEAN cooperation reduces regional barriers with varied national conditions. Historical NAFTA linked US, Canada and Mexico; USMCA replaced it on 1 July 2020.

Benefits / opportunities

Regional access can support specialised supply chains and investment; enlarged markets may attract producers seeking scale.

Drawbacks / threats

Rules of origin, non-tariff rules and national differences still matter; external suppliers may face less favourable access.

Evaluation

Retain NAFTA for specification/historical extracts and use USMCA for the updated context. Do not present a free-trade area as the EU single market.

Regional agreement improves access → **producer considers regional plant** → **serves multiple markets** → **compare actual origin/compliance rules.**

4.3.1.5b Business effects of trading blocs

Blocs can create trade when members replace higher-cost local production with efficient member supply; trade diversion shifts purchases from efficient outsiders to favoured insiders.

Benefits / opportunities

Market size and integrated suppliers support scale; reduced uncertainty may encourage investment and product choice.

Drawbacks / threats

Outside firms face disadvantage; inefficient inside suppliers may win because of barriers rather than productivity.

Evaluation

Separate benefits to a member producer from costs to an outsider or consumer. Examine rules, supply quality and rivalry.

Member supplier gains tariff preference → **buyer switches from outsider** → **landed cost changes** → **sourcing and competitiveness change.**

4.3.2 | Global markets and business expansion

SECTION MAP • Strategic links to the detailed teaching cards

Topic 1

Push/pull; offshoring/outsourcing; product life extension

Topic 2

Customer income, access, stability, currency and five forces

Topic 3

Costs, labour, logistics, blocs, incentives, resources and investment returns

Topic 4

Ten motives for combinations; market/capability access, control, shared cost and risk

Topic 5

Currency effects; skill shortages and responses

Global opportunity → market/industry fit → resource and implementation needs → cash/return → stakeholder consequences → conditional decision.

4.3.2 | Global markets and business expansion

DETAILED STUDY CARDS • Definition, opportunities, limitations, applied mechanism and judgement.

4.3.2.1a Push factors: saturation and rivalry

Push factors encourage leaving or supplementing the home market. Saturation means limited remaining growth in demand; intense competition can reduce available margins.

Benefits / opportunities

Expansion offers a new growth route; using proven capability abroad can reduce reliance on a crowded home market.

Drawbacks / threats

A struggling home proposition may fail abroad too; managers can divert resources from fixing core weaknesses.

Evaluation

Being pushed does not establish attractive foreign opportunities; assess market fit and funding before committing.

Home market matures → **volume growth slows** → **explore overseas segments** → **seek less saturated demand.**

4.3.2.1b Pull factors: sales, scale and risk

Pull factors attract firms to foreign markets: potential sales/profit, larger scale and exposure to different demand cycles.

Benefits / opportunities

Higher volume spreads fixed costs; geographic diversification may reduce dependence on one market.

Drawbacks / threats

Local adaptation and coordination can offset scale; correlated downturns or shared suppliers reduce diversification.

Evaluation

Test the correlation and contribution, not just sales size. More countries can also create new risk rather than reduce total exposure.

Add a market with different demand pattern → **more balanced sales** → **steadier capacity use** → **potential cash resilience.**

4.3.2 | Global markets and business expansion

DETAILED STUDY CARDS • Definition, opportunities, limitations, applied mechanism and judgement.

4.3.2.1c Offshoring versus outsourcing

Offshoring relocates activity abroad. Outsourcing contracts an activity to another organisation. A firm can offshore in its own subsidiary, outsource domestically, or do both.

Benefits / opportunities

Access to specialist skills or lower total cost; management can focus resources on core capability.

Drawbacks / threats

Control, quality, communication and dependency risks; longer chains increase inventory and response costs.

Evaluation

Compare total delivered cost per acceptable unit, not the wage rate; distinguish location from ownership/control.

Foreign specialist performs component work → **lower relevant cost** → **resources focus on design** → **verify quality and lead time.**

4.3.2.1d Extending the product life cycle abroad

A product mature or declining in one market may attract new users elsewhere, extending commercial returns. Market development can exploit different adoption rates.

Benefits / opportunities

Spreads existing development costs over more units; uses established know-how and production capability.

Drawbacks / threats

Old technology may be unsuitable; adaptation, regulation and new competitors can reduce returns.

Evaluation

A different market does not automatically reset the life cycle; assess local demand, standards and substitutes.

Home sales flatten → **introduce proven product in new market** → **new customer adoption** → **extra contribution from existing design.**

4.3.2 | Global markets and business expansion

DETAILED STUDY CARDS • Definition, opportunities, limitations, applied mechanism and judgement.

4.3.2.2a Market attractiveness: disposable income

Disposable income is income available after direct taxes and including relevant transfers. Its level, growth and distribution affect affordable demand.

Benefits / opportunities

Growing target-segment income supports premium sales; distribution data helps choose appropriate price points.

Drawbacks / threats

National averages conceal inequality and essential spending; rapid growth from a low base may still leave little discretionary income.

Evaluation

Use customer purchasing power, price levels and YED; GDP is only a starting proxy.

Urban segment income rises → **more affordable discretionary spending** → **higher potential demand** → **tailor offer and price.**

4.3.2.2a Market attractiveness: access and stability

Ease of doing business concerns practical entry/operation barriers such as permits, contracts and administration. Infrastructure, political stability and exchange rates affect reach and reliability.

Benefits / opportunities

Reliable logistics/payments and predictable rules reduce entry friction; stable access supports planned investment.

Drawbacks / threats

Poor distribution, bureaucracy, policy shifts or currency volatility increase cost and cash uncertainty.

Evaluation

Use current case-level evidence rather than treating an old national ranking as decisive; market demand alone is insufficient.

Reliable transport reaches target cities → **fewer delivery failures** → **better customer experience** → **sustainable sales potential.**

4.3.2 | Global markets and business expansion

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4.3.2.2b Five forces in a foreign market

Porter's five forces assess rivalry, threat of entry, substitutes, buyer power and supplier power. They identify pressures on industry returns, not a country's overall attractiveness score.

Benefits / opportunities

Highlights margin pressure and entry barriers; helps choose niches, partners and a defensible offer.

Drawbacks / threats

Qualitative ratings are judgemental and can change; industry boundaries and local informal competition complicate assessment.

Evaluation

Prioritise the dominant force in the actual industry/region, then assess whether this firm has a feasible response.

Powerful retail buyers demand discounts → **entrant margin squeezed** → **seek differentiated direct channel** → **improve bargaining position.**

4.3.2.3a Production location: cost and labour

Location assessment compares relevant production costs, skill availability, productivity, quality and labour stability, not just wages.

Benefits / opportunities

A skilled productive workforce can lower cost per good unit; appropriate wages and capability support dependable output.

Drawbacks / threats

Cheap labour may have low productivity or require training; shortages create turnover, overtime and delays.

Evaluation

Include benefits, supervision, rejects, recruitment and exchange rates. Market-attractiveness factors and production factors overlap but answer different questions.

Lower wage but fewer good units per hour → **labour cost per good unit rises** → **apparent saving disappears** → **reconsider location.**

4.3.2 | Global markets and business expansion

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4.3.2.3a Production location: logistics and resources

Infrastructure includes transport, power, digital networks and utilities. Natural resources, supplier proximity and trade-bloc location influence delivered cost and continuity.

Benefits / opportunities

Reliable energy/logistics protect throughput; near inputs or customers can reduce transport and lead time.

Drawbacks / threats

Weak utilities cause stoppages; distant supply ties up working capital; resources can create environmental exposure.

Evaluation

Compare full supply-chain cost, time, resilience and origin rules, not a factory-gate price alone.

Power failures halt a process → **output/reject costs rise** → **delivery suffers** → **higher effective unit cost.**

4.3.2.3a Production location: policy and return

Government incentives, business procedures, political stability and likely investment return affect location. Incentives may include grants, tax relief or infrastructure.

Benefits / opportunities

Support can improve initial cash/returns; predictable rules protect long-term commitment.

Drawbacks / threats

Conditions, expiry or clawback can erode benefit; political change can restrict ownership or profit transfers.

Evaluation

Use investment appraisal and scenario analysis from Unit 3. A one-off incentive cannot compensate for permanently uncompetitive operations.

Tax relief improves early cash → **project seems viable** → **test post-incentive cost** → **judge sustainable return.**

4.3.2 | Global markets and business expansion

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4.3.2.4a Global combinations: risk and scale

A merger combines organisations; takeover acquires control; joint venture shares ownership/control of an activity. These may spread risk and create scale economies.

Benefits / opportunities

Combined purchasing/production may lower costs; partners can share exposure across markets and activities.

Drawbacks / threats

Acquisition premiums, integration and coordination can outweigh economies; shared market shocks limit risk spreading.

Evaluation

Identify achievable synergy after integration costs and verify risk is diversified rather than merely enlarged.

Combine regional operations → **consolidate compatible purchasing** → **lower input prices** → **potential higher margins.**

4.3.2.4b Enter markets and trading blocs

Acquiring or partnering with a local firm can provide established operations and regional presence. Access still depends on applicable rules and approvals.

Benefits / opportunities

Faster entry and customer access than building from zero; local production may improve delivery and some trade conditions.

Drawbacks / threats

Regulatory scrutiny and integration take time; an acquired location does not automatically qualify every product for preferences.

Evaluation

Compare speed with price, compliance and alternative exporting/licensing routes.

Acquire regional distributor → **gain route to retailers** → **reduce launch delay** → **build sales sooner.**

4.3.2 | Global markets and business expansion

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4.3.2.4c Acquire brands, patents and expertise

Buying or partnering with a firm may secure recognised brands, protected inventions, know-how and skilled teams.

Benefits / opportunities

Reduces time to build credibility or technology; complementary capabilities may improve the offer.

Drawbacks / threats

Overpaying for intangible value reduces return; key staff or customers may leave after ownership change.

Evaluation

Protect the capability and trust being purchased; ownership alone does not preserve reputation or employee commitment.

Acquire trusted local brand → **retain customer recognition** → **lower awareness barrier** → **expand distribution.**

4.3.2.4d Secure resources and supplies

International combinations may provide control or longer-term access to critical inputs, technology or resource deposits.

Benefits / opportunities

Reduces some supply dependence and coordination problems; improves planning for scarce inputs.

Drawbacks / threats

Large capital commitment and unfamiliar operations reduce flexibility; environmental and geopolitical risk may increase.

Evaluation

Compare ownership with diverse sourcing and long-term contracts; internal supply is not automatically cheaper or secure.

Acquire key component supplier → **align output/quality** → **fewer shortages** → **reliable final production.**

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4.3.2.4e Maintain global competitiveness

Combinations can assemble the technology, scale, reach and service needed to match global rivals.

Benefits / opportunities

A wider network can serve multinational customers; pooled expertise supports innovation and coordinated launches.

Drawbacks / threats

Complexity and bureaucracy can slow decisions; cost targets may damage local service and differentiation.

Evaluation

Specify the capability gap being solved; being larger is not equivalent to being competitive.

Combine complementary networks → **serve customer across regions** → **stronger account retention** → **defend competitive position.**

4.3.2.4f Reduce competition

A horizontal combination can remove a rival and increase market share, potentially reducing price/promotional pressure.

Benefits / opportunities

May improve bargaining scale and reduce duplicate activity; combined portfolio can strengthen coverage.

Drawbacks / threats

Competition authorities may block or require remedies; customers may switch and integration can disrupt the offer.

Evaluation

Assess approval, market boundaries and retained customers; market-share arithmetic does not guarantee higher profit.

Acquire competitor → **fewer independent rivals** → **potential pricing power** → **subject to customer choice and regulation.**

4.3.2 | Global markets and business expansion

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4.3.2.4g Use local knowledge

A local partner supplies insight into customer behaviour, channels, suppliers, informal practices and institutions.

Benefits / opportunities

Avoids some research and entry mistakes; trusted relationships can improve access and execution.

Drawbacks / threats

Partner information may be biased; conflicting incentives and dependency limit learning/control.

Evaluation

Check partner competence, integrity and knowledge transfer; local knowledge is valuable only if relevant and acted upon.

Local partner identifies appropriate channel → **launch fits buying habits** → **lower wasted promotion** → **better conversion.**

4.3.2.4h Government or legal requirements

Entry rules may restrict foreign ownership or require local partnership/licensing. These vary by country, sector and time.

Benefits / opportunities

A compliant partnership can enable otherwise unavailable market access; local participation may build acceptance.

Drawbacks / threats

Restrictions can limit control, ownership and exit options; policy change adds uncertainty.

Evaluation

Use the actual rules in the case. A JV is not universally required for international entry.

Local partnership required → **form compliant JV** → **obtain permission** → **begin operations subject to agreed governance.**

4.3.2 | Global markets and business expansion

DETAILED STUDY CARDS • Definition, opportunities, limitations, applied mechanism and judgement.

4.3.2.4i Access supply chains and distribution

An established partner/target can offer supplier relationships, logistics capability and access to retailers or service networks.

Benefits / opportunities

Faster reliable fulfilment; lower cost of building a network and potentially better coverage.

Drawbacks / threats

Legacy systems, exclusivity and unsuitable outlets constrain choices; relationships may depend on previous owners.

Evaluation

Test channel fit and service capacity; a large network can be expensive and poorly matched to the target customer.

Partner's cold chain reaches retailers → **reduce spoilage** → **dependable product availability** → **support repeat demand.**

4.3.2.4j Share costs and risks

Partners can share R&D;, infrastructure, launch costs and uncertainty. A JV creates shared control rather than a simple purchase of services.

Benefits / opportunities

Makes large projects affordable; complementary resources reduce each partner's exposure.

Drawbacks / threats

Profit and decisions are shared; deadlock, opportunism and intellectual-property leakage can arise.

Evaluation

Clear governance, contributions, dispute procedures and exit terms are critical; sharing cost does not remove total project risk.

Pool technical and local resources → **share development spending** → **launch sooner** → **split returns and responsibility.**

4.3.2 | Global markets and business expansion

DETAILED STUDY CARDS • Definition, opportunities, limitations, applied mechanism and judgement.

4.3.2.5a Exchange-rate uncertainty

Currency movements affect export prices, imported inputs, translated earnings and the value/cost of overseas assets and debt.

Benefits / opportunities

Favourable movements improve some receipts/costs; matching local revenues with local costs can reduce net exposure.

Drawbacks / threats

Adverse moves squeeze margins/cash and reduce repatriated profit; pricing adjustments may lose customers.

Evaluation

Separate transaction effects, translation and competitiveness; contracts, hedging, invoicing and imported content determine net impact.

Host currency weakens → **same local profit converts into fewer home-currency pounds** → **lower reported return** → **reassess exposure.**

4.3.2.5b Skill shortages and global competitiveness

A skill shortage exists when suitable labour is insufficient at prevailing conditions. International competitiveness depends on quality, innovation, cost and delivery as well as wages.

Benefits / opportunities

Training and recruitment partnerships can build capability; better retention reduces repeated hiring disruption.

Drawbacks / threats

Vacancies raise overtime/pay and delay investment; poaching and turnover can dissipate training benefits.

Evaluation

Combine training, retention, appropriate migration and technology; assess time to proficiency and avoid assuming automation needs no specialists.

Technician shortage → **machines underused** → **unit cost rises** → **delivery/reputation weakens internationally.**

4.3.3 | Global marketing

SECTION MAP • Strategic links to the detailed teaching cards

Topic 1

Global/local strategy; ethnocentric/polycentric/geocentric; 4Ps; Ansoff and Porter

Topic 2

Cultural diversity; cross-border specialists; niche 4Ps

Topic 3

Culture, tastes, language, meanings, branding and promotion

Global opportunity → market/industry fit → resource and implementation needs → cash/return → stakeholder consequences → conditional decision.

4.3.3 | Global marketing

DETAILED STUDY CARDS • Definition, opportunities, limitations, applied mechanism and judgement.

4.3.3.1a Global marketing and glocalisation

Global marketing coordinates an offer across countries. Standardisation uses a similar approach; glocalisation keeps a global core while adapting selected features locally.

Benefits / opportunities

Shared brand/platform and campaigns spread costs; local adaptation improves relevance and acceptance.

Drawbacks / threats

Standardisation can miss needs; too much adaptation loses scale and creates brand inconsistency.

Evaluation

Choose what must be common and what creates local value. The best balance depends on customer similarity and adaptation cost.

Keep global brand/platform → **adapt recipe and local message** → **meet tastes** → **retain some scale with better fit.**

4.3.3.1b Ethnocentric approach

An ethnocentric/domestic approach treats the home-country offer and methods as suitable abroad, with limited local adaptation.

Benefits / opportunities

Reuses proven systems and creative assets; strong central control preserves consistency.

Drawbacks / threats

Home assumptions may be wrong; cultural errors and unsuitable products damage adoption.

Evaluation

Useful where needs and rules align; do not infer suitability solely from success at home.

Export home product unchanged → **low development cost** → **fast launch** → **risk poor local fit.**

4.3.3 | Global marketing

DETAILED STUDY CARDS • Definition, opportunities, limitations, applied mechanism and judgement.

4.3.3.1b Polycentric approach

A polycentric/international approach treats national markets as distinct and gives significant local adaptation and decision authority.

Benefits / opportunities

Local knowledge improves product and promotion fit; responds to national rules and channels.

Drawbacks / threats

Duplicate development and campaigns raise cost; fragmented brands/systems lose synergies.

Evaluation

Assess whether extra contribution outweighs local complexity; countries also contain multiple segments.

Local team changes sizes and message → **closer customer fit** → **higher conversion** → **additional adaptation cost.**

4.3.3.1b Geocentric approach

A geocentric/mixed approach looks for the best combination of global coordination and local responsiveness, using worldwide knowledge rather than home-country superiority.

Benefits / opportunities

Shares effective practices/platforms while adapting where valuable; talent and ideas can move across units.

Drawbacks / threats

Coordination and data sharing are demanding; unclear central/local authority can slow decisions.

Evaluation

Explain the actual allocation of decisions and resources; calling a strategy geocentric does not resolve the trade-offs.

Use common technology → **share regional learning** → **localise priority features** → **combine scale and relevance.**

4.3.3 | Global marketing

DETAILED STUDY CARDS • Definition, opportunities, limitations, applied mechanism and judgement.

4.3.3.1c Global product and price adaptation

Product changes can include function, size, standards, packaging, service and language. Price reflects purchasing power, positioning, costs, tax, competition and exchange rates.

Benefits / opportunities

Relevant specification and affordable pack sizes expand access; differentiated value can sustain premiums.

Drawbacks / threats

Adaptation raises design/inventory complexity; a low local price can leave insufficient contribution or damage positioning.

Evaluation

Local price equality in converted currency is not always appropriate; assess willingness to pay and full delivered cost.

Smaller pack lowers purchase outlay → **trial becomes affordable** → **more target buyers purchase** → **check per-unit margin and waste.**

4.3.3.1c Global promotion and place adaptation

Promotion must fit language, media, cultural norms and law. Place concerns routes to customers: distributors, retailers, direct digital channels and logistics.

Benefits / opportunities

Relevant media/message improves conversion; suitable channels make the offer reliably accessible.

Drawbacks / threats

Local agents reduce control and take margin; online reach without fulfilment, payment or support can disappoint.

Evaluation

Coordinate the 4Ps so positioning, price, message and customer experience reinforce one another.

Use trusted local distributor → **reach habitual outlets** → **improve availability** → **stimulate trial and repeat buying.**

4.3.3 | Global marketing

DETAILED STUDY CARDS • Definition, opportunities, limitations, applied mechanism and judgement.

4.3.3.1d Ansoff for global decisions

Ansoff combines existing/new products with existing/new markets: penetration, product development, market development and diversification. Entering a new country with an existing product is usually market development.

Benefits / opportunities

Clarifies what changes and where capability is needed; supports comparison of expansion routes.

Drawbacks / threats

Market boundaries are judgemental; the model does not calculate cost, demand, return or a fixed probability of failure.

Evaluation

Classify relative to the business's current product/market, then assess capability, evidence and funding; geography alone does not define every case.

Existing specialist product enters new country → **new channel/customer knowledge needed** → **invest in local access** → **market development risk.**

4.3.3.1d Porter's global positioning choices

Porter's matrix links competitive scope (broad/narrow) with advantage (low cost/differentiation): cost leadership, differentiation, cost focus and differentiation focus.

Benefits / opportunities

Clarifies a coherent source of advantage and target; guides marketing, operations and investment alignment.

Drawbacks / threats

Low price without low cost destroys margins; costly differences customers do not value fail to earn premiums.

Evaluation

Sustain advantage through capabilities and fit, not a label; global scale does not automatically establish cost leadership.

Global niche values precision → **differentiated specialist offer** → **lower direct price comparison** → **potential premium.**

4.3.3 | Global marketing

DETAILED STUDY CARDS • Definition, opportunities, limitations, applied mechanism and judgement.

4.3.3.2a Cultural diversity and segmentation

Cultural diversity recognises different values and interests among groups across the world. Useful segments may cross borders rather than match national boundaries.

Benefits / opportunities

Transnational shared needs support targeted offers; diversity can inspire relevant product innovation.

Drawbacks / threats

National stereotypes misidentify buyers; excessive segmentation raises costs and can overlook within-group variation.

Evaluation

Use research on actual buyers and test differences within as well as between countries.

Identify similar specialist interests across cities → **segment by behaviour** → **tailor value proposition** → **reach a cross-border niche.**

4.3.3.2b Global niche markets

A global niche is a relatively small specialised segment with similar needs across countries. Combined international demand may sustain a specialist business.

Benefits / opportunities

Aggregating small national segments expands viable demand; expertise and service support loyalty and premium potential.

Drawbacks / threats

Total market can remain small; specialist entrants, community trends and key channels create dependence.

Evaluation

A niche is not competition-free; assess reachable volume, imitation, service cost and concentration risk.

Small group of technical users in each country → **aggregate demand internationally** → **spread specialist R&D;** → **sustain the offer.**

4.3.3 | Global marketing

DETAILED STUDY CARDS • Definition, opportunities, limitations, applied mechanism and judgement.

4.3.3.2c Adapting 4Ps for a global niche

Keep the specialist benefit coherent while adapting certification, sizing, support, payment, messaging and channels as necessary.

Benefits / opportunities

Core design scale combines with trusted expert communication; specialist channels improve credibility.

Drawbacks / threats

Small volumes make country-specific compliance expensive; high service/logistics cost can absorb premiums.

Evaluation

The adaptation must preserve the valued core; use contribution after local compliance and service costs.

Precision climbing equipment → **certify and translate safety guidance** → **sell through trusted specialists** → **protect credibility.**

4.3.3.3a Culture, tastes and buying behaviour

Values, religion, social norms, habits and tastes influence product use, acceptable designs, decision processes and service expectations.

Benefits / opportunities

Respectful research improves relevance and trust; local insight identifies underserved uses.

Drawbacks / threats

Misreading customs can cause rejection; cultures evolve and vary by age, region and individual.

Evaluation

Treat culture as evidence to investigate, not a fixed explanation for everyone in a country.

Research consumption occasions → **adapt usage/packaging** → **offer fits routine** → **higher repeat purchase.**

4.3.3 | Global marketing

DETAILED STUDY CARDS • Definition, opportunities, limitations, applied mechanism and judgement.

4.3.3.3a Language, branding and unintended meanings

Translation, symbols, colours, humour and names can convey unintended meanings. Promotion/branding must fit context and applicable standards.

Benefits / opportunities

Local testing avoids costly mistakes; consistent intended meaning strengthens trust.

Drawbacks / threats

Literal translation can mislead/offend; inappropriate claims or imagery cause backlash and relaunch costs.

Evaluation

Use professional/local review and test the whole customer journey, including instructions, service and digital content.

Test brand name with local users → **detect negative association** → **revise before launch** → **avoid wasted campaign spending.**

4.3.4 | Global industries and MNCs

SECTION MAP • Strategic links to the detailed teaching cards

Topic 1

Local jobs/firms/community; national growth/FDI/payments/skills/consumers/culture/tax

Topic 2

Stakeholders; environment; labour/supply chains; marketing ethics

Topic 3

Power/politics; law; consumers; pressure groups; social media; voluntary standards

Global opportunity → market/industry fit → resource and implementation needs → cash/return → stakeholder consequences → conditional decision.

4.3.4 | Global industries and MNCs

DETAILED STUDY CARDS • Definition, opportunities, limitations, applied mechanism and judgement.

4.3.4.1a MNCs: employment and working conditions

Local impacts include jobs, wages, skills, safety and employment security. Direct jobs in the MNC differ from indirect supplier jobs and displaced rival jobs.

Benefits / opportunities

Investment creates work and may offer training or above-alternative wages; standards can improve practices.

Drawbacks / threats

Work may be insecure or unsafe; firms may recruit scarce workers from local employers and displace jobs.

Evaluation

Compare conditions with realistic alternatives while still evaluating rights and safety; count net jobs and job quality, not announcement totals.

MNC hires and trains workers → **incomes and skills rise** → **local spending increases** → **possible multiplier effects.**

4.3.4.1a MNCs: local firms and communities

MNC activity changes supplier demand, competition, land use, infrastructure and community/environment outcomes.

Benefits / opportunities

Supplier contracts and infrastructure can strengthen local capability; residents gain services and demand.

Drawbacks / threats

Powerful buyers squeeze suppliers; local rivals may close and pollution/congestion can impose costs.

Evaluation

Benefit depends on local sourcing, contracts, spillovers and external costs; an isolated imported-input plant has weaker local linkages.

Local sourcing grows → **supplier invests in quality** → **capability improves** → **wider business opportunities.**

4.3.4 | Global industries and MNCs

DETAILED STUDY CARDS • Definition, opportunities, limitations, applied mechanism and judgement.

4.3.4.1b MNCs: growth, FDI and payments

National impacts include productive investment, output growth and cross-border flows. FDI inflow is a financial-account flow; exports/imports and repatriated investment income affect current-account components.

Benefits / opportunities

New capacity can raise output and exports; import substitution may reduce some imports.

Drawbacks / threats

Imported machinery/inputs and profit repatriation can offset export gains; growth may be uneven or dependent.

Evaluation

Do not treat FDI as an export or assume the balance of payments automatically improves; separate flows, dates and domestic value added.

FDI builds plant → **output/export capacity rises** → **export receipts increase** → **later profits may be remitted abroad.**

4.3.4.1b MNCs: technology and business culture

Knowledge transfer can occur through training, supplier standards, worker mobility and management practices. Demonstration may change local business culture.

Benefits / opportunities

Skills and processes improve productivity/quality; entrepreneurial supplier learning can spread capability.

Drawbacks / threats

Transfer may stay inside the subsidiary; imported managers/technology may limit local learning or be unsuitable.

Evaluation

Assess actual diffusion, absorption skills and incentives; high-tech equipment alone is not economy-wide knowledge transfer.

Local engineers learn quality systems → **carry knowledge to suppliers** → **fewer defects** → **broader competitiveness.**

4.3.4 | Global industries and MNCs

DETAILED STUDY CARDS • Definition, opportunities, limitations, applied mechanism and judgement.

4.3.4.1b MNCs: consumers and tax revenues

MNCs can widen choice, service and price competition. Profits, wages and transactions can generate taxes, subject to local rules and incentives.

Benefits / opportunities

Consumers gain options and competitive pressure; revenue can fund public services and infrastructure.

Drawbacks / threats

Market power may weaken future competition; incentives and profit shifting can limit tax take relative to activity.

Evaluation

Compare public incentives/costs with durable net revenue and benefits; high sales do not equal high taxable profit.

Entry increases rivalry → **incumbents improve value** → **consumer benefit** → **assess whether competition remains durable.**

4.3.4.2a Stakeholder conflicts internationally

Stakeholders include shareholders, workers, suppliers, customers, host/home governments and communities. Their objectives and power can conflict across countries.

Benefits / opportunities

Consultation can reveal sustainable compromises; responsible conduct supports trust and long-term access.

Drawbacks / threats

Higher standards or taxes may reduce short-term distributions; relocation can protect shareholder return but harm workers.

Evaluation

Weigh who gains/loses, timeframe and alternatives. Legal compliance is a baseline and does not settle every ethical question.

Raise supplier pay → **costs rise** → **margins initially fall** → **lower turnover and reputation gains may offset later.**

4.3.4 | Global industries and MNCs

DETAILED STUDY CARDS • Definition, opportunities, limitations, applied mechanism and judgement.

4.3.4.2b Emissions, waste and sustainability

Environmental responsibility concerns emissions, waste disposal, resource use and sustaining future capacity to meet needs. Global chains can shift damage across borders.

Benefits / opportunities

Cleaner processes reduce waste and some energy costs; credible performance supports licence to operate and demand.

Drawbacks / threats

Technology/certification costs and imperfect measurement; claimed improvement in one stage may shift harm elsewhere.

Evaluation

Assess absolute impact, lifecycle scope and verified outcomes; lower impact per unit can coexist with higher total emissions if output grows.

Cleaner process reduces waste → **lower disposal/material costs** → **smaller local impact** → **improved trust.**

4.3.4.2c Pay, conditions and exploitation

Ethical supply chains assess pay, hours, safety, freedom and treatment, including forced/exploitative labour and child labour risks. Responsibility extends beyond direct employees.

Benefits / opportunities

Decent conditions improve retention/quality; traceability and supplier support protect trust and continuity.

Drawbacks / threats

Audits cost money and may miss hidden subcontractors; abrupt supplier exit can harm vulnerable workers.

Evaluation

Use traceability, worker voice, remediation and responsible purchasing terms; an audit certificate alone does not prove safety.

Buyer demands low prices and short deadlines → **supplier pressure** → **unsafe overtime** → **brand/legal and human harm.**

4.3.4 | Global industries and MNCs

DETAILED STUDY CARDS • Definition, opportunities, limitations, applied mechanism and judgement.

4.3.4.2d Ethical global marketing

Misleading labels can distort buyer choice about origin, ingredients, benefits or environmental claims. Inappropriate marketing can exploit vulnerability or disregard cultural/safety context.

Benefits / opportunities

Accurate information builds informed trust; responsible targeting reduces disputes and reputational risk.

Drawbacks / threats

Restricting profitable campaigns can reduce immediate sales; enforcement and standards vary across markets.

Evaluation

Evaluate truth, evidence, audience and foreseeable harm, not only whether a claim avoids a local penalty.

Unsubstantiated green claim → **customers misled** → **challenge spreads** → **trust and sales fall.**

4.3.4.3a MNC power and political influence

Large MNCs can have bargaining power through jobs, investment, expertise and mobility. Governments can set rules but may compete for investment.

Benefits / opportunities

Constructive engagement can support infrastructure and workable standards; government leverage grows with market importance.

Drawbacks / threats

Threats to relocate or lobbying can weaken standards; dependence may reduce accountability and tax bargaining power.

Evaluation

Power is relative: market access, sunk assets, alternatives, coordination and public scrutiny can strengthen the host's position.

Host relies on major employer → **fears relocation** → **offers concessions** → **public cost may rise.**

4.3.4 | Global industries and MNCs

DETAILED STUDY CARDS • Definition, opportunities, limitations, applied mechanism and judgement.

4.3.4.3a Legal control of MNCs

Law can set minimum standards, require reporting, impose penalties and regulate competition or harmful conduct. Cross-border enforcement is complex.

Benefits / opportunities

Credible inspection and sanctions can change incentives; common standards can reduce a race to the bottom.

Drawbacks / threats

Weak capacity, jurisdiction gaps and corruption reduce effect; compliance can become formal rather than substantive.

Evaluation

Assess enforcement probability and sanction size as well as law on paper; coordinate across jurisdictions where feasible.

Detection and penalty are credible → **expected cost of abuse rises** → **firm invests in prevention** → **safer conduct.**

4.3.4.3a Consumers, pressure groups and social media

Customers can switch or boycott; pressure groups investigate/campaign; social media rapidly spreads evidence and reputational pressure.

Benefits / opportunities

Visibility raises the commercial cost of harmful conduct; informed buyers can reward verified improvements.

Drawbacks / threats

Claims may be inaccurate or short-lived; buyers may lack affordable substitutes and attention does not ensure action.

Evaluation

Assess credibility, reach, stakeholder power, alternatives and persistence; publicity can motivate cosmetic responses.

Verified abuse goes viral → **retailers/customers demand change** → **sales/reputation exposed** → **management funds remediation.**

4.3.4 | Global industries and MNCs

DETAILED STUDY CARDS • Definition, opportunities, limitations, applied mechanism and judgement.

4.3.4.3a Self-regulation and combined control

Self-regulation includes voluntary codes, audits, supplier standards and reporting. It can complement legal control and independent scrutiny.

Benefits / opportunities

Flexible industry expertise can respond quickly; shared standards may improve supplier consistency.

Drawbacks / threats

Conflicts of interest and weak sanctions invite greenwashing; suppliers may game announced audits.

Evaluation

Combine enforceable floors, transparent evidence and incentives. Compare voluntary commitments with monitored outcomes and consequences.

Code plus independent worker reporting → **detect hidden risks** → **remediate and verify** → **improve actual conditions.**

Visual atlas | select, read, apply, challenge

Models structure thinking. Their labels do not establish demand, affordability or a sustainable advantage.

Trade and integration

Global value chain; tariff and quota effects; bloc access and origin rules

Expansion decisions

Entry route/control spectrum; offshore/outsourcing grid; market versus production choice

Strategic matrices

Ansoff product/market map; Porter scope/advantage matrix; applied five forces

Global marketing

Ethnocentric/polycentric/geocentric; standardisation-adaptation; coherent global 4Ps

Impacts and ethics

MNC host-country flows; stakeholder conflicts; traceability and control mechanisms

Quantitative applications

Growth and GDP; currency; tariff pass-through; unit cost; contribution and investment; environmental intensity

Ansoff | apply products and markets globally

Read existing/new relative to the firm and define what counts as its market.

Columns: EXISTING PRODUCT → NEW PRODUCT Rows: EXISTING MARKET → NEW MARKET

Market penetration

Existing product / existing market.

Example: win more of the current overseas target segment through better distribution.

Test rivalry, saturation and incremental marketing cost.

Product development

New product / existing market.

Example: new technical model for current customers abroad.

Test development cost, capability and cannibalisation.

Market development

Existing product / new market.

Example: sell the established model in a new country/segment.

Test local needs, channels, regulations and service.

Diversification

New product / new market.

Example: enter a new country with an unfamiliar product category.

Test relatedness, expertise and financial exposure.

Ansoff classifies growth direction. It does not identify ownership/entry mode, calculate return or assign a fixed probability of failure.

Porter | global scope and source of advantage

Align the activities, capabilities and 4Ps with a defendable customer value proposition.

Columns: LOW-COST POSITION → VALUED DIFFERENTIATION Rows: BROAD SCOPE → NARROW SCOPE

Cost leadership

Broad scope + low cost.

Global scale, efficient processes and purchasing may support a lower cost base.

Low selling price alone is not cost leadership.

Differentiation

Broad scope + valued difference.

Distinctive design, quality, brand or service supports choice and potentially a premium.

Extra value must exceed extra cost.

Cost focus

Narrow scope + low cost.

Serve a defined segment efficiently, such as a specialised low-frills channel.

Test niche scale and larger rivals entering.

Differentiation focus

Narrow scope + valued difference.

Specialist expertise/precision/service fits a global niche.

Test imitation, customer concentration and service cost.

Judge durability, fit and implementation. A premium product is not automatically differentiated successfully, and global reach does not imply low costs.

Five forces | foreign specialist market example

Illustrative premium water-filter entrant. Prioritise dominant pressures, then identify a feasible response.

Entry threat

Certification, trusted brands and retailer access create barriers.

Supplier power

One patented membrane supplier creates switching difficulty.

Industry rivalry

Existing trusted brands compete on performance, service and price.

Buyer power

A few major retailers demand discounts and extended credit.

Substitutes

Bottled water or other treatment systems meet the underlying need.

Priority response: retailer power may compress cash and margin. A credible service-led direct channel could reduce dependence, but requires acquisition spending and fulfilment capability.

Offshoring and outsourcing | two different dimensions

Location and organisational ownership/control are independent choices.

Columns: HOME LOCATION → FOREIGN LOCATION Rows: OWN ORGANISATION → EXTERNAL PROVIDER

Domestic + in-house

Activity remains at home within the organisation.

Example: own local support team.

Control and proximity; potentially higher cost.

Foreign + in-house

Offshore in an owned foreign operation.

Example: own overseas support centre.

Control with foreign access; investment and coordination risk.

Domestic + external

Outsource to a home-country contractor.

Example: specialist local logistics partner.

Expertise and flexibility; dependency and contract costs.

Foreign + external

Offshore and outsource.

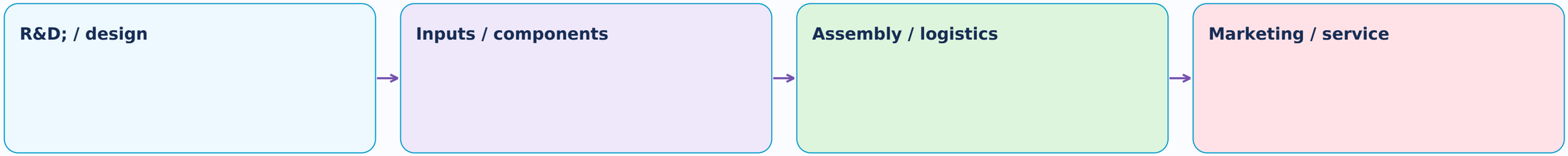
Example: independent foreign component supplier.

Potential cost/expertise benefit; quality, distance and ethical oversight risk.

The right choice depends on total delivered cost, quality, skills, responsiveness, control and resilience. Do not equate all foreign sourcing with FDI.

International value chain | value, cash and exposure

Each stage can be located or contracted differently. FDI applies where a lasting foreign ownership interest is established.



Specialisation

Locations contribute different skills and resources. Quality and coordination link the stages.

Landed cost

Add factory cost, freight, tariffs, compliance, rejects, inventory and delay risk.

Cash cycle

Inputs/transport may be paid before foreign customer receipts. More distance can increase funding need.

Dependency

A cheap sole supplier or single port can become a system-wide bottleneck.

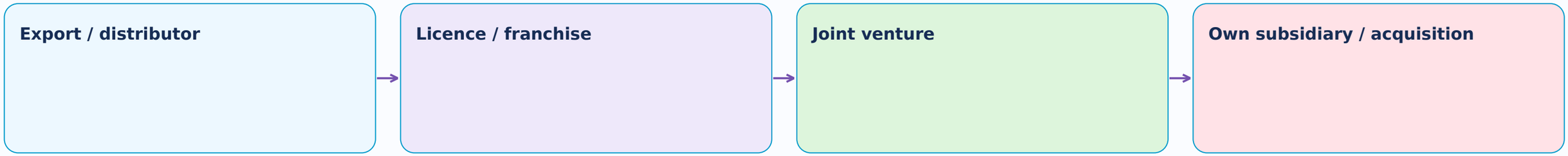
Benefits: Scale, expertise and customer reach can improve the value proposition.

Drawbacks: Distance and complexity create handoff, ethical and continuity risks.

Judge: Select each location for its role and the total system outcome, not wage alone.

FDI and entry routes | control versus commitment

This is a comparison framework, not a fixed risk ranking. Contracts and industry conditions change the trade-offs.



Export

Lower foreign asset commitment, but tariffs, transport, payments and distributor dependence remain.

Licence / franchise

Access partner resources and local effort; fees/royalties without full ownership, but brand/IP control needs protection.

Joint venture

Shared resources, local access and risk; shared profit/control and potential deadlock.

Wholly owned route

Greater control and retained upside; larger capital exposure, management burden and potential integration risk.

Benefits: Choice can match resources, urgency and control needs.

Drawbacks: A fast acquisition may be costly; a low-asset route may sacrifice margin or influence.

Judge: Compare feasible routes, reversibility, legal access and actual execution capability.

Production location versus sales market

A country attractive for selling need not be the cheapest or best place to manufacture.

Define objective → **Assess relevant evidence** → **Compare full outcomes** → **Stress-test key constraints**

As a market

Target disposable income/growth, demand fit, infrastructure, business friction, stability, exchange rates and five forces.

As a production location

Good-unit cost, relevant labour skills, resources, utilities/logistics, blocs, incentives, stability and investment return.

Potential conflict

Affluent market may have high production cost; cheap production may sit far from customers or lack quality skills.

Decision discipline

Use comparable evidence and the same time/currency basis; investigate must-pass constraints before scoring attractive features.

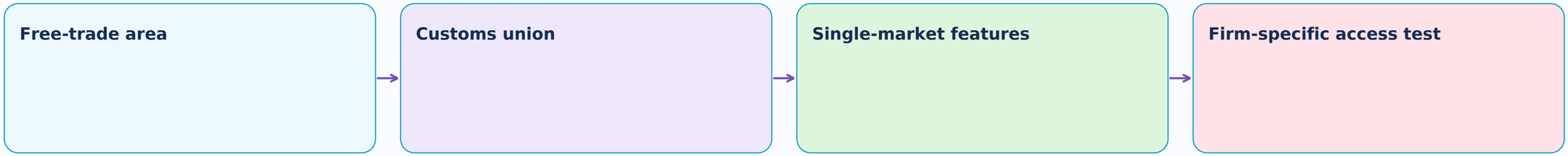
Benefits: Separates customer opportunity from operational feasibility.

Drawbacks: A single average country score can hide a fatal compliance or capacity constraint.

Judge: Weight evidence for this product and objective; validate assumptions before committing.

Trading blocs | access is conditional

Degrees of integration differ; this progression illustrates concepts rather than claiming every bloc follows this path.



Internal and external rules

A free-trade area reduces internal barriers; a customs union also has common external tariff arrangements.

Wider integration

Single-market features address wider barriers and movement; implementation/exceptions matter.

Origin and compliance

Preferential entry can depend on where/how a product is made and whether it meets applicable requirements.

Member versus outsider

Member firms gain reach but face more internal rivalry; outsiders may face discrimination or consider local operations.

Benefits: Wider market and integrated sourcing can support scale and investment.

Drawbacks: External diversion, compliance and stronger rivalry can reduce benefits.

Judge: Use EU/ASEAN/historical NAFTA context correctly and evaluate actual rules.

Global marketing orientations | authority and learning

These are strategic orientations; actual firms may combine practices by product and region.



Ethnocentric

Reuse home product and campaign. Efficiency and consistency, but risk of ethnocentric mistakes.

Polycentric

National teams adapt to local needs. Relevance and responsiveness, but duplication and fragmentation.

Geocentric

Integrate worldwide learning and common platforms with selective adaptation. Requires capable coordination.

Evidence test

Ask who decides product, price, promotion and place; whose knowledge is used; and what performance results.

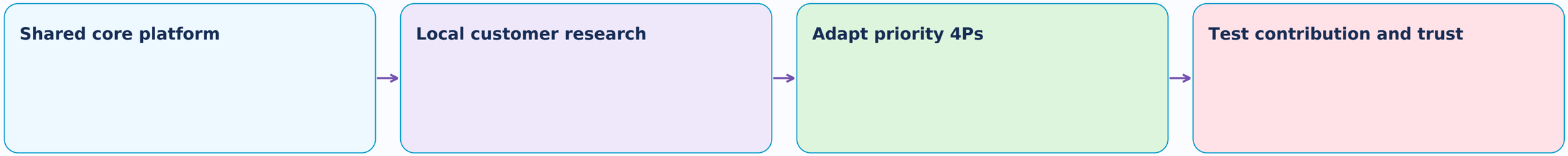
Benefits: A clear allocation of decisions helps coordinate strategy and delivery.

Drawbacks: Labels conceal mixed practice; unclear authority slows action.

Judge: Choose the balance by customer similarity, rules, cost and local expertise.

Glocalisation | preserve the core, adapt what matters

Illustrative hydration equipment brand: global technology/quality with selective market adaptation.



Product

Keep filtration technology; adapt fittings, instructions and certification to use conditions.

Price

Reflect affordable outlay, tax, channel margin and value; avoid below-cost local pricing.

Promotion

Retain brand promise but use clear local language, relevant evidence and appropriate media.

Place

Use reliable local service/distribution where needed; online reach needs payments, delivery and returns.

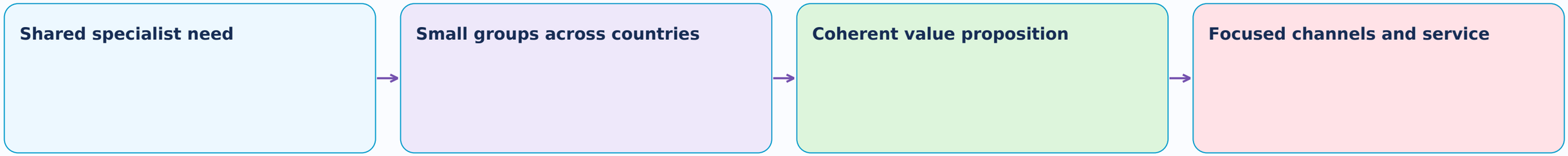
Benefits: Common core spreads R&D; meaningful adaptation improves acceptance.

Drawbacks: Variant inventories and local campaigns create cost and complexity.

Judge: Adapt where incremental contribution and customer value justify the extra resource.

Global niche | common need across national boundaries

Segments should be defined by relevant needs and behaviour, not a national stereotype.



Feature

A small segment in each country may combine into a viable global market.

Product and price

Protect specialist performance; premium only where buyers value it beyond extra compliance/service cost.

Promotion and place

Credible experts/communities and trusted specialist outlets can be more relevant than mass advertising.

Risk

Small total volume, community trends, imitation and concentrated buyers create exposure.

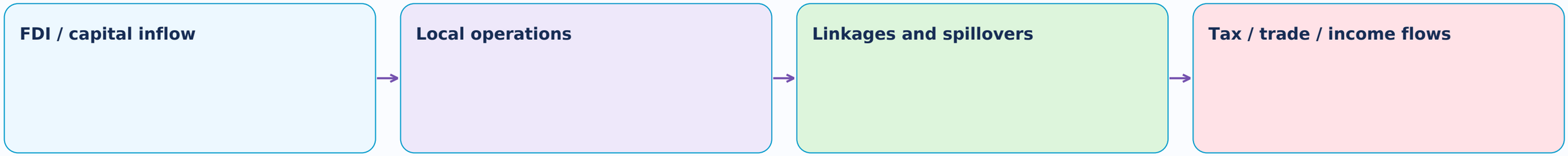
Benefits: Aggregated demand can fund expertise and sustain differentiation focus.

Drawbacks: A narrow segment may be too small or expensive to reach profitably.

Judge: Validate reachable demand and customer contribution after cross-border support costs.

MNC impacts | trace host-country flows

Separate the enterprise result from local and national benefits, and immediate inflow from later recurring effects.



Local positives

Jobs, wages, supplier demand, training and infrastructure can improve wellbeing and capability.

Local negatives

Displacement, unsafe work, pollution, land pressure and supplier power can impose costs.

National positives

Output, exports, technology diffusion, consumer choice and public revenue may improve.

National leakages/risks

Imported equipment/inputs, repatriated income, tax concessions and dependence can reduce retained benefits.

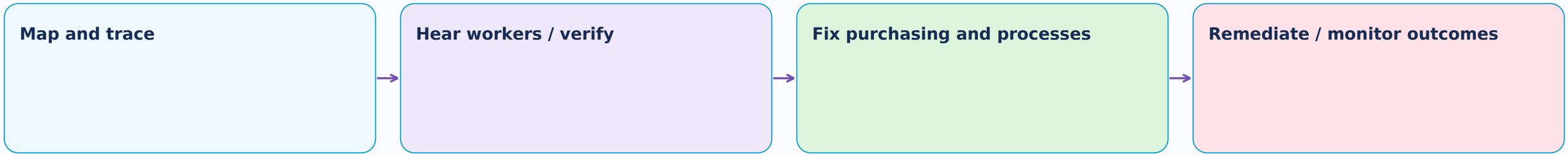
Benefits: Investment can stimulate durable domestic value added and skill development.

Drawbacks: Gross investment or export totals overstate net benefit if linkages are weak.

Judge: Compare realistic alternatives, domestic value added and distribution over time.

Supply-chain ethics | from purchasing terms to outcomes

Direct employees, first-tier suppliers and hidden subcontractors require different visibility and remedies.



Root causes

Unrealistic price/deadline demands can encourage excessive hours and hidden subcontracting.

Verification

Independent checks, worker voice and unannounced follow-up improve evidence; paperwork alone is weak.

Remediation

Correct unsafe conditions and support affected workers; abrupt exit can shift harm rather than resolve it.

Measurement

Track pay, hours, safety and recurrence, not just the number of audits completed.

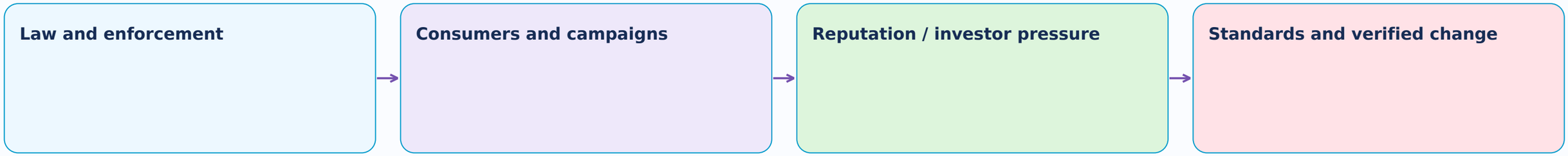
Benefits: Credible improvements protect workers, quality, continuity and trust.

Drawbacks: Monitoring cost, limited visibility and conflicting incentives make assurance difficult.

Judge: Combine traceability with responsible purchasing terms and verified action.

Controlling MNCs | complementary pressure mechanisms

The effectiveness of control depends on the balance of power, credible evidence and consequences.



Government

Rules plus detection and sanctions change incentives; jobs/investment dependence can weaken leverage.

Public pressure

Customers, pressure groups and social media can amplify credible evidence and trigger commercial consequences.

Self-regulation

Codes and audits use expertise and flexibility but can be cosmetic without independent scrutiny.

Power test

Market access, sunk investment, alternatives and cross-border cooperation affect each actor’s leverage.

Benefits: Combined controls reduce gaps left by any single mechanism.

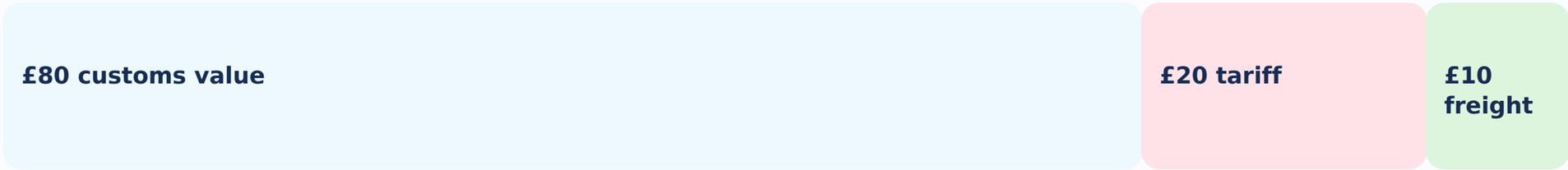
Drawbacks: Weak enforcement, low consumer switching and misinformation limit impact.

Judge: Assess actual behaviour and outcomes rather than policy promises or viral attention.

Tariff and quota | compare the mechanisms

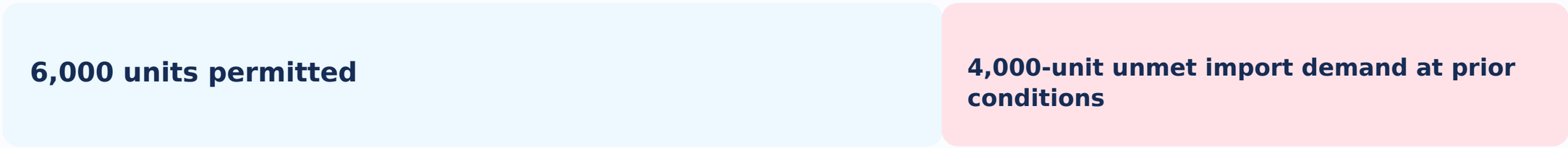
Illustrative imported product; diagrams show direct mechanisms, not a full welfare model.

TARIFF: £80 customs value; 25% ad valorem duty; £10 delivery cost



Total landed cost = £110. Without the tariff it would be £90. Tariff applies to the stated customs value here, not the later retail price.

QUOTA: desired imports 10,000 units; allowed imports 6,000 units



Quota does not specify the new price. Scarcity, substitution, domestic supply and licence allocation determine the adjustment.

Evaluate: domestic producers may gain; importers/consumers may lose. Tariff revenue goes to government on taxed imports; quota rents depend on licence allocation. Retaliation and input costs can harm domestic exporters.

Stakeholder conflicts | who gains, who bears the cost?

Illustrative MNC factory expansion. Effects are possibilities to investigate, not guaranteed outcomes.

Assess both BUSINESS outcomes and WIDER outcomes; separate IMMEDIATE effects from LONGER-TERM consequences

Workers and suppliers

Jobs, training and orders can rise.

Trade-off: safety, excessive hours, insecure contracts and buyer pressure.

Evidence: net jobs, wage alternatives, worker voice and supplier terms.

Shareholders and customers

Scale and capability may increase return and value.

Trade-off: setup/integration cost, quality failures and unethical reputation risk.

Evidence: sustainable contribution, return, service and complaints.

Host government and economy

Output, infrastructure and tax potential.

Trade-off: incentives, displacement, import dependence and profit outflows.

Evidence: domestic value added and durable net public benefit.

Community and environment

Local spending and services can improve.

Trade-off: pollution, resource use, congestion and land pressures.

Evidence: lifecycle impact, local consultation and verified remediation.

Ethical judgement needs evidence, realistic alternatives and distributional effects. A higher aggregate return does not erase serious harm to a vulnerable group.

GDP and population | calculate average growth

Illustrative economy. All GDP figures are real, in the same base-year currency.

GDP per capita = GDP ÷ population; growth = change ÷ original × 100

Step / measure	Working / result
Year 1	GDP $600bn; population 30m → $20,000 per person
Year 2	GDP $648bn; population 31.2m → $20,769.23 per person
Total real GDP growth	(648 - 600) ÷ 600 × 100 = 8%
Population / per-capita growth	Population +4%; per capita (20,769.23 ÷ 20,000 - 1) × 100 = 3.846%

Read the result

Real total output grows 8%, but average real output grows only about 3.85% because population also rises. This is not disposable income for every buyer.

Benefits / uses

Separates aggregate market scale from average capacity to spend.

Limitations / risks

Inequality, prices, taxes and regional conditions affect target demand.

Conditional judgement

Combine with segment research and HDI/infrastructure; do not forecast sales from GDP growth alone.

Market scale versus average income

Illustrative countries, same currency/price basis. The target segment is defined by research.

Population × target segment proportion = potential segment size

Step / measure	Working / result
Country A	80m people; GDP/person $8k → total GDP $640bn
Country B	10m people; GDP/person $40k → total GDP $400bn
Target affluent segment	A: 5% × 80m = 4m people; B: 25% × 10m = 2.5m
Reachable buyers	A at 20% channel reach = 0.8m; B at 60% = 1.5m

Read the result

A has higher total GDP and a larger nominal target segment, but B offers more reachable target buyers under the stated assumptions.

Benefits / uses

Shows why GDP, average income and accessible product demand differ.

Limitations / risks

Segment percentages and reach are estimates; purchase frequency, competition and price still matter.

Conditional judgement

Prioritise attainable profitable demand, not the biggest headline economy.

Tariff and pricing | trace landed cost to margin

Customs value £80, freight £10, 25% tariff on £80. Retail selling price £140; no other costs in this simplified example.

Tariff = specified customs value × rate; contribution = price - relevant unit VC

Step / measure	Working / result
Before tariff	Landed variable cost £90; contribution £140 - £90 = £50
With tariff	Duty £20; landed cost £110; contribution £30
If sales stay 2,000 units	Total contribution falls £100k to £60k: -£40k
Raise selling price to £160	Contribution restored to £50/unit; but if volume falls to 1,400, total contribution £70k

Read the result

Passing the full £20 cost increase into price restores unit contribution, but not total contribution if demand falls. Do not assume a tariff translates one-for-one into customer price.

Benefits / uses

Quantifies options for absorbing cost, passing it on or changing sourcing.

Limitations / risks

PED, rivals, exchange rates and compliance costs can change quantity and margins.

Conditional judgement

Compare demand and fixed costs under each option; avoid choosing price based only on restoring unit margin.

Trade creation and diversion | compare landed prices

Illustrative free-trade area; comparable product/quality. No freight difference. Non-member tariff 20%.

Landed price = source price + applicable duty

Step / measure	Working / result
Before preference	Domestic £120; member supplier £110 + £22 duty = £132; outsider £100 + £20 = £120
After member duty removed	Member £110; outsider still £120 landed; domestic £120
Business choice	Buyer switches to member at £110: saving £10 relative to prior £120
Efficiency warning	Outsider factory price £100 is lower than member £110: preference can divert sourcing

Read the result

A buyer can gain a landed-price saving while trade is diverted from the lower underlying-cost outside supplier. This example is not a calculation of national welfare.

Benefits / uses

Explains the difference between business landed cost and underlying production efficiency.

Limitations / risks

Tariff revenue, quantities and supply/quality changes are omitted.

Conditional judgement

Evaluate member, outsider, buyer and public effects separately.

Exchange rates | fixed foreign price and repatriation

Quote: US dollars per pound. Sterling appreciates from $1.25 to $1.50 per £1.

Dollar amount ÷ dollars per pound = pound value

Step / measure	Working / result
$300,000 export receipts	Before: 300,000 ÷ 1.25 = £240,000; after: ÷ 1.50 = £200,000
$120,000 imported costs	Before £96,000; after £80,000
Net dollar exposure	Net $180,000 → £144,000 before; £120,000 after: £24,000 lower
$75,000 subsidiary profit	Converts to £60,000 before and £50,000 after, before transfer costs/taxes

Read the result

Appreciation reduces both translated export receipts and dollar input costs; the net effect depends on the uncovered currency position. The subsidiary may be unchanged in local-currency performance.

Benefits / uses

Separates gross receipt effects, natural offsets and translated return.

Limitations / risks

Volumes, prices, hedging and invoicing may change; translation loss is not automatically an equal local cash loss.

Conditional judgement

Measure net exposure by currency and timing before recommending a response.

Pricing a home-currency export | competitor effect

Firm needs £100 revenue/unit. Quote changes from $1.25/£ to $1.50/£.

Foreign customer price = home-currency price × foreign currency per home unit

Step / measure	Working / result
Keep £100 price	Dollar buyer price rises $125 to $150: +20%
Keep dollar price $125	Pound receipt becomes $125 ÷ 1.50 = £83.33
Relevant unit cost £70	Contribution: £30 before; £13.33 if holding $125 price
Decision conditions	Compare customer sensitivity, rivals, imported inputs and capacity before choosing price

Read the result

The exporter can hold sterling revenue per unit or protect the dollar price, but cannot assume both remain unchanged at the new rate.

Benefits / uses

Shows the customer-price and home-margin trade-off explicitly.

Limitations / risks

Demand response and local rival prices are uncertain; dollar input costs may offset some pressure.

Conditional judgement

Choose a sustainable mix of pricing, cost response and exposure management supported by research.

Natural hedging and forward cover | match exposure

Illustrative forward rate $1.40/£ for a net $180k receipt at the agreed date. Actual terms/eligibility are not assumed.

Natural hedge offsets same-currency inflows/outflows; forward fixes an agreed exchange rate

Step / measure	Working / result
Gross receipts and costs	Receipts $300k less dollar costs $120k = net $180k
Forward cover at $1.40/£	$180k ÷ 1.40 = £128,571.43 before fees
Compared with spot $1.50/£	£120,000 spot; forward provides £8,571.43 more
If spot instead $1.20/£	Spot would give £150,000; forward gives £21,428.57 less

Read the result

The forward creates certainty on the covered amount/date, not guaranteed superior returns. Matching local costs and revenues reduces the amount needing conversion.

Benefits / uses

Supports budgeting and protects a covered margin against adverse movement.

Limitations / risks

Fees, volume/date mismatch and foregone favourable moves matter; expected orders may not occur.

Conditional judgement

Use exposure and cash obligations to choose cover, not a speculative currency forecast.

Offshore labour cost | wage is not unit cost

Hourly figures; same quality/output definition. Compare accepted units, then add other costs.

Labour cost per good unit = wage per hour ÷ good units per hour

Step / measure	Working / result
Home location	Wage £18; gross 12 units/hour, rejects 0% → £1.50/good unit
Foreign location	Wage £8; gross 6 units/hour, rejects 10% → 5.4 good units → £1.4815/good unit
Add foreign logistics/compliance	£0.40/unit → £1.8815 compared with home £1.50 (labour-related comparison only)
Break-even foreign good output	£8 ÷ g + £0.40 = £1.50 → g = 7.2727 good units/hour

Read the result

Lower wages produce only a small labour-unit advantage here, reversed by the added cost. The foreign site needs more than 7.27 good units/hour to beat £1.50 on these included items.

Benefits / uses

Connects pay, productivity, rejects and delivered cost.

Limitations / risks

Capital, training, supervision, currency and reliability costs are not fully included.

Conditional judgement

Compare full relevant costs and service over the investment horizon, not a single wage figure.

Offshore total cost | expose hidden commitments

Illustrative annual demand 100,000 units; no capacity conflict. Figures are relevant scenario costs.

Annual total = unit delivered cost × volume + relevant fixed/coordination cost

Step / measure	Working / result
Home	£12/unit × 100,000 + £200k fixed = £1.40m
Foreign	£9 factory + £2 logistics/duty + £1 quality/holding = £12/unit; + £260k fixed = £1.46m
Nominal factory saving	£300k, but offset by £300k added variable costs and £60k higher fixed cost
If foreign cost falls £1/unit	Total £1.36m; £40k saving before transition cost and risk

Read the result

A £3 factory-price advantage does not imply a total saving. Small changes to freight, rejects and delays can determine the result.

Benefits / uses

Improves location/outsourcing comparison and supplier negotiation.

Limitations / risks

Cost estimates and volumes are uncertain; risk and quality cannot always be priced reliably.

Conditional judgement

Stress the few inputs capable of reversing the ranking and compare staged alternatives.

Global adaptation | calculate the extra contribution

Common global offer versus adapted offer; same local market/period. Excludes other common costs.

Incremental profit = contribution change - extra adaptation fixed cost

Step / measure	Working / result
Standard offer	10,000 units × (£50 price - £30 VC) = £200k contribution
Adapted offer	13,000 units × (£52 - £34) = £234k contribution
Extra fixed adaptation cost	£50k → net increment £234k - £200k - £50k = -£16k
Volume threshold at £18 contribution	(£200k + £50k) ÷ £18 = 13,888.89 → 13,889 whole units

Read the result

Higher sales and total contribution do not cover the adaptation cost at 13,000 units. Under these assumptions, 13,889 units are needed to outperform standardisation in this period.

Benefits / uses

Tests whether local fit creates enough value to pay for complexity.

Limitations / risks

Repeat-period benefit, brand learning, cannibalisation and setup recurrence can change the answer.

Conditional judgement

Combine research with time horizon and cash funding; a loss in period one may or may not be justified by credible later value.

Overseas investment | use Unit 3 appraisal carefully

Illustrative initial outlay £600k; annual net cash inflows £180k, £220k, £260k, £240k. Four years; no residual value.

Payback uses cash; ARR below uses average profit ÷ initial outlay × 100

Step / measure	Working / result
Cumulative cash	Year 1 £180k; Y2 £400k; Y3 £660k; Y4 £900k
Payback	2 + (£600k - £400k) ÷ £260k = 2.7692 years, assuming even Y3 receipts
Average profit / ARR	Total cash £900k - outlay £600k = £300k profit; average £75k; ARR 12.5%
NPV at 10%	$180/1.1 + 220/1.1^2 + 260/1.1^3 + 240/1.1^4 - 600$ = £104.720k

Read the result

At a 10% discount rate the base cash flows yield positive NPV about £104,720. This is a prior-unit technique applied to global expansion, not a new named Unit 4 model.

Benefits / uses

Compares timing and required return under stated assumptions.

Limitations / risks

Currency, taxes, transfer restrictions, terminal value and political risk can alter cash; do not treat operating profit as net cash.

Conditional judgement

Stress downside and implementation alongside appraisal. A positive NPV does not establish affordability or market fit.

Investment downside | currency and delay

Use the same four-year project and 10% discount rate. Independent simplified downside cases.

Discount each changed net cash flow at the same assumed rate for comparison

Step / measure	Working / result
All operating cash inflows 20% lower	PV £704.720k × 0.8 - £600k = NPV -£36.224k
All receipts one year later	PV £704.720k ÷ 1.1 - £600k = NPV £40.654k
20% lower plus one-year delay	PV £704.720k × 0.8 ÷ 1.1 - £600k = NPV -£87.477k
Cash interpretation	Outlay stays immediate; delay lengthens the funding gap; lower receipts worsen recovery

Read the result

A plausible adverse movement can reverse the decision. Scaling cash by 20% is a scenario assumption, not a claim that a 20% rate change always cuts home-currency cash 20%.

Benefits / uses

Identifies vulnerability and evidence needed before commitment.

Limitations / risks

Scenarios simplify interdependent cost, price and currency responses; discount rate risk treatment needs consistency.

Conditional judgement

Consider staged entry or a partner where exposure exceeds risk capacity; compare alternatives using consistent assumptions.

FDI and host-country flows | do not mix accounts

Illustrative first operating year; figures $m. This is a flow illustration, not a complete national balance-of-payments account.

Separate financing flows, trade flows and investment-income flows

Step / measure	Working / result
FDI funding	Foreign investor contributes $100m: direct-investment financial flow
Goods flows	Plant exports $80m; imports inputs $35m and equipment $20m → goods net +$25m
Investment income	Profits remitted abroad $12m → outward investment-income flow
Selected current-account flows	Goods +25 less income 12 = +$13m from the listed items only

Read the result

FDI inflow is not export revenue. The selected current-account contribution is +$13m here, but other goods, services, income and transfers are omitted.

Benefits / uses

Prevents counting investment and trade as the same source of benefit.

Limitations / risks

Domestic value added, displaced firms, concessions and social/environmental costs remain to assess.

Conditional judgement

Judge recurring domestic value and skills as well as the initial inflow or gross export figure.

Environmental intensity versus total impact

Illustrative output and verified emissions; equal scope and time definitions.

Total emissions = output × emissions per unit

Step / measure	Working / result
Before expansion	100,000 units × 2kg CO_2e = 200,000kg
After process improvement and growth	150,000 units × 1.6kg = 240,000kg
Intensity change	(1.6 - 2) ÷ 2 × 100 = -20%
Absolute change	(240,000 - 200,000) ÷ 200,000 × 100 = +20%

Read the result

Emissions per unit fall 20% while total emissions rise 20%. A claim about intensity must not be presented as an absolute reduction.

Benefits / uses

Clarifies the scope and meaning of environmental evidence.

Limitations / risks

Boundaries, supplier emissions, energy sources and verification affect comparability.

Conditional judgement

Assess lifecycle and absolute targets alongside efficiency and demand growth; avoid unsupported green claims.

Evaluation bank | Globalisation and business growth

Six distinct argument routes. Develop only the relevant ones with the case evidence and causal reasoning.

Demand and scope

International customers create volume, but reachable profitable segments matter more than population.

Scale and specialisation

Shared R&D; and purchasing may lower costs, but adaptation/coordination can offset scale.

Rivalry and advantage

Entry barriers fall for competitors too. Protect a valued capability rather than assume wider access creates profit.

People and knowledge

Global talent and learning improve capability; skill shortages and cultural friction restrict execution.

Cash and resilience

Longer chains and credit consume funds; diversification helps only when exposures are not strongly correlated.

Ethics and legitimacy

More jurisdictions complicate accountability. Verified conduct affects communities, reputation and access.

Evaluation bank | Protectionism and trading blocs

Six distinct argument routes. Develop only the relevant ones with the case evidence and causal reasoning.

Recipient versus user

Protected producers gain demand; domestic input users can lose competitiveness through higher costs.

Price and demand

Tariff pass-through depends on bargaining power and PED; quantity and margin responses can offset protection.

Capability over time

Temporary support may build skills; permanent shelter can preserve inefficiency and taxpayer cost.

Retaliation and supply

Export retaliation and border delays can damage firms outside the initially protected sector.

Member versus outsider

Regional preference expands some access while diverting trade and disadvantaging efficient outsiders.

Business response

Local production, sourcing changes or differentiation may help; compare origin rules and full implementation cost.

Evaluation bank | Choose a foreign sales market

Six distinct argument routes. Develop only the relevant ones with the case evidence and causal reasoning.

Customer affordability

Use target disposable income and purchase habits, not total GDP alone.

Industry returns

Identify dominant five-forces pressure; high market growth can still coincide with weak margins.

Channel and service

A country can contain demand that the firm cannot reach or serve reliably.

Institutional access

Permits, contracts, stability and standards affect time, cost and recoverability of investment.

Currency and cash

Imported content, customer credit and repatriation determine net return and funding needs.

Capabilities and alternatives

Compare entry routes, pilot scale and resources with a credible second market or delayed entry.

Evaluation bank | Choose a production location

Six distinct argument routes. Develop only the relevant ones with the case evidence and causal reasoning.

Full good-unit cost

Include productivity, rejects, freight, duties, coordination and inventory, not wages alone.

Skills and process fit

Available labour must match technical work; training, retention and management affect ramp-up.

Infrastructure and continuity

Utilities, ports and supplier reliability can dominate a small wage saving.

Access and resources

Raw materials and bloc status can help, but origin and standards requirements still apply.

Investment and policy

Incentives may improve early cash yet expire; assess post-incentive competitiveness and political exposure.

Ethics and responsiveness

Long lead times, labour oversight and environmental harm can undermine brand and service value.

Evaluation bank | International merger or takeover

Six distinct argument routes. Develop only the relevant ones with the case evidence and causal reasoning.

Speed and capability

Acquisition brings established brands/channels, but integration is slower than the legal purchase.

Purchase price and funding

Synergy must exceed premium, fees and financing/working-capital cost; positive operating gains may still be poor value.

People and culture

Key staff/customer departures can destroy the capability purchased; align incentives and local trust.

Regulatory approval

Competition or foreign-ownership scrutiny can delay, restrict or block the intended combination.

Knowledge and networks

Local relationships accelerate entry only if retained and relevant; legacy obligations may constrain choices.

Alternatives and control

Compare greenfield, JV, licence or export; wholly owned upside comes with greater exposure.

Evaluation bank | Joint venture

Six distinct argument routes. Develop only the relevant ones with the case evidence and causal reasoning.

Complementary resources

Local channels plus foreign technology may accelerate success; contribution quality must be verified.

Shared cost and risk

Each partner funds less, but shared ownership does not reduce the total project’s underlying uncertainty.

Legitimacy and access

A partner may meet a rule or build trust; partnership is not universally mandatory.

Governance and incentives

Objectives, authority, investment and dividend priorities can conflict and create deadlock.

IP and learning

Knowledge sharing creates mutual gains but may build a future competitor or leak technology.

Exit and performance

Specify dispute, reporting and exit arrangements; assess actual demand/cash before scaling.

Evaluation bank | Currency uncertainty

Six distinct argument routes. Develop only the relevant ones with the case evidence and causal reasoning.

Transaction exposure

Match contract currency, date and net amounts; receivables and payables can offset.

Price competitiveness

An exchange move changes customer prices unless absorbed; rivals and elasticity determine volume.

Translated performance

Same local profit can convert to a different home amount without changing local operations.

Investment and finance

Foreign debt or asset commitments can create mismatches; transfer rules and taxes affect usable return.

Risk responses

Natural hedging or forwards stabilise some exposure but create costs, constraints and forgone upside.

Strategic resilience

Diversify sources/markets cautiously; global currency and demand shocks may be correlated.

Evaluation bank | Global standardisation versus adaptation

Six distinct argument routes. Develop only the relevant ones with the case evidence and causal reasoning.

Scale and coherence

Shared technology and campaigns spread cost; meaningful local differences can defeat the common offer.

Customer value

Local features, packs and service improve fit only if valued enough to cover extra cost.

Rules and culture

Some adaptation is mandatory or essential to avoid unsafe/inappropriate use, beyond a preference choice.

Variant complexity

More SKUs create forecasting, inventory, training and service costs and can fragment the brand.

Local authority and learning

Local teams improve responsiveness; common data/guardrails prevent duplication and inconsistency.

Time and testing

Pilot key adaptations and measure repeat contribution, not just awareness or initial trial.

Evaluation bank | Global niche and positioning

Six distinct argument routes. Develop only the relevant ones with the case evidence and causal reasoning.

Segment size and reach

Aggregate small international groups, then check attainable volume and acquisition cost.

Expertise and trust

Specialist performance and service can support a premium; unsupported claims cannot.

Scale limits

Shared core spreads R&D; but certification and low local volumes may remain expensive.

Competitive response

A niche can attract powerful entrants or imitation; defend expertise, relationships and reliability.

Channels and customers

Specialist channels add credibility but create margin and concentration dependence.

Growth fit

Expansion must preserve the specialist benefit; mass-market volume can dilute the valued identity.

Evaluation bank | MNC host-country benefits and costs

Six distinct argument routes. Develop only the relevant ones with the case evidence and causal reasoning.

Net jobs and quality

Count direct/indirect jobs less displacement; evaluate safety, security, skills and real alternatives.

Local supplier linkages

Domestic procurement and learning deepen benefits; imported-input enclaves retain less value.

National flows

Separate FDI finance from trade and income; exports can be offset by imports and profit remittance.

Knowledge diffusion

Transfer depends on worker/supplier learning and absorption; advanced equipment alone is insufficient.

Public value and power

Compare durable taxes/services with incentives, infrastructure cost and bargaining dependence.

Distribution and environment

Aggregate GDP gains may coexist with harmed communities; assess who bears external costs.

Evaluation bank | Ethical global supply chains

Six distinct argument routes. Develop only the relevant ones with the case evidence and causal reasoning.

Purchasing incentives

Low prices and impossible deadlines can undermine standards; change root causes, not only supplier paperwork.

Visibility and evidence

Hidden tiers and staged audits weaken assurance; traceability and worker voice improve detection.

Commercial resilience

Fair conditions can improve retention/quality; benefits take time and may not fully offset cost.

Remedy versus exit

Abrupt withdrawal can worsen worker harm; combine protection, remediation and credible escalation.

Environment and truth

Use lifecycle/absolute evidence; intensity claims and selective boundaries can mislead.

Accountability and judgement

Apply rights and safety alongside realistic alternatives, independent verification and transparent follow-up.

Evaluation bank | Controlling powerful MNCs

Six distinct argument routes. Develop only the relevant ones with the case evidence and causal reasoning.

Legal incentives

Expected detection and meaningful penalties matter more than law on paper.

Government leverage

Market access and sunk investment strengthen control; reliance on jobs and mobile capital can weaken it.

Consumer discipline

Switching/boycotts affect sales where evidence is credible and alternatives affordable.

Campaign amplification

Pressure groups and social media increase visibility; attention may fade or misinformation may distract.

Voluntary standards

Expertise and speed help, but self-interest and weak sanctions require external challenge.

Combined approach

Enforcement, transparency, worker voice and market incentives can reinforce each other; measure actual outcomes.

Applied case | AquaCore global expansion

Independent illustrative case for integrated quantitative and strategic reasoning. Figures are assumptions, not real company data.

Business and market evidence

AquaCore sells reliable £100 filters to specialist home customers. It is considering Market R, where installers value certified products and service. A few large distributors demand 60-day credit; a patented membrane supplier has strong bargaining power.

A local partner offers a JV with installer access. A wholly owned operation offers more control but requires greater cash and local hiring. Skilled technicians are scarce.

Export proposal and cost risk

Initial export forecast: 10,000 units, price $150/unit, relevant manufacturing cost £60/unit and freight £5/unit. Import duty is 20% of the £60-equivalent customs value, assumed paid by AquaCore. Fixed market support cost £200,000/year.

Base exchange rate $1.50/£. If sterling rises to $1.75/£, assume dollar price/volume and the listed sterling costs stay unchanged for the stress test.

Tasks: calculate base and stressed profit; identify the dominant force; compare export/JV/owned entry; recommend a global marketing approach; assess supply-chain ethics and host benefits.

Further evidence needed: timing of funding, JV terms, current entry rules/certification, market research, quality standards, warranty cost, local labour capability and the supplier’s contract.

AquaCore | calculate net currency and tariff exposure

Use the exact case assumptions. Price is fixed in dollars and all stated costs remain in pounds for this scenario.

Profit = volume × (converted price - unit VC) - market fixed cost

Step / measure	Working / result
Unit variable costs	£60 manufacture + £5 freight + (20% × £60) duty = £77
Base $1.50/£	Price $150 ÷ 1.50 = £100; contribution £23; 10,000 × £23 - £200k = £30k profit
Stress $1.75/£	Price $150 ÷ 1.75 = £85.7143; contribution £8.7143; profit -£112,857.14
Break-even base / stress	Base 200,000 ÷ 23 → 8,696 units; stress ÷ 8.7143 → 22,951 units

Read the result

At forecast 10,000 units, base profit is modest and the currency stress produces a loss. Stress break-even is far beyond the unchanged sales forecast.

Benefits / uses

Makes currency and tariff assumptions visible and quantifies headroom.

Limitations / risks

Local costs, tariff currency/base, volumes, warranty and credit losses could differ; actual cash timing is not specified.

Conditional judgement

Do not recommend full-scale entry from the base £30k alone. Test pricing, cover, pilot scale and partner terms.

AquaCore | an applied balanced argument

Illustrative analysis for an entry recommendation. This is not an official mark scheme.

Developed argument: pilot with local expertise

A limited export pilot through a credible installer partner can test the service proposition while avoiding the larger initial commitment of a wholly owned operation. Installers value certification and dependable support, so differentiation focus may reduce direct price comparison.

Local knowledge can help access installers and appropriate promotion. However, the partner must be able to deliver technical support; a relationship label does not resolve technician shortages.

Developed counterargument: power and cash

Large distributors can demand discounts and 60-day credit, reducing the already modest base profit and extending the funding gap. The currency stress turns £30k profit into a loss of about £112.9k under the scenario.

A JV may share resources and improve service access, but ownership/profit must be shared and deadlock or IP leakage can arise. Compare actual terms rather than assuming all local partnerships are safer.

Conditional judgement

Prefer a staged pilot if certification, service capability, membrane supply and cash funding are secured, and pricing/currency terms leave a credible contribution cushion. Retain the core global performance promise while adapting installation, language and support.

Do not commit to a large owned operation until repeat demand and full costs are established. Currency, buyer power and scarce service skills are binding risks here; a positive base forecast is weaker evidence than verified orders and a funded service plan. If the partner offers no credible capability or terms, delay or choose an alternative market.

AquaCore | evaluate the host-country and ethical outcome

Business success, national growth and stakeholder wellbeing require related but separate evidence.

Potential host benefits

Local installation/service jobs and training can improve capability. Reliable filtration may add consumer value if product claims are evidence-based. Local purchases and wages can support suppliers and community spending.

Benefits deepen if the JV trains local technicians and develops supplier quality rather than importing every component and specialist. The scale and duration of jobs depend on demand and retention.

Costs and accountability

Imported membranes and remitted profits reduce some domestic retained flows. Scarce technicians may be drawn away from local firms. Disposal of used filters creates waste; claims must not exaggerate environmental or health effects.

Set traceability, worker safety and collection/disposal responsibilities. A supplier code must be supported by evidence and remediation, especially where cost pressure encourages hidden subcontracting.

Evidence-based host judgement

Support is more defensible where training, safe work, truthful marketing and verified waste handling create durable local value beyond headline sales. Compare net jobs, local spending, public incentives/costs and realistic alternatives.

Host authorities can use enforceable product/environment rules and inspection; consumers/installers and pressure groups can reward credible performance. Independent evidence and meaningful consequences strengthen voluntary promises. Avoid inferring national benefit simply from an MNC being present.

Practice | retrieve and calculate

Use closed-book recall first. Give definitions, workings, units and the business implication.

Task	Prompt
1	Distinguish exporting, FDI, offshoring and outsourcing.
2	Real GDP $400bn/population 20m becomes $440bn/22m: per capita and growth?
3	Customs value £50, freight £8, duty 20% of £50: landed cost?
4	$240k receipt less $90k costs: net pound value at $1.25/£ and $1.50/£?
5	Wage £9/hour, 5 units/hour, 10% rejects: labour cost/good unit?
6	Adapted c £15/unit, standard total contribution £120k, extra FC £30k: volume needed to match?
7	Existing product/new country: Ansoff? Narrow specialist premium offer: Porter?
8	Name five forces and explain why national income is not one of them.
9	Intensity 3kg falls to 2.4kg; output 50k rises to 75k: total emissions change?
10	Give two reasons why an MNC’s export growth might not mean equal net host benefit.

Practice answers | interpret and correct

Redo any missed method; then develop a case-specific consequence from the number.

Task	Answer
1	Export: sell abroad; FDI: lasting foreign ownership interest. Offshore: foreign location; outsource: external organisation.
2	$20,000/person in both periods. GDP +10%, population +10%, real GDP/person unchanged.
3	£50 + £8 + £10 = £68. Duty basis is stated customs value, not final retail price.
4	Net $150k: £120k at 1.25; £100k at 1.50. £20k lower home value as sterling appreciates.
5	Good output 5 × 0.9 = 4.5/hour; £9 ÷ 4.5 = £2/good unit.
6	(£120k + £30k) ÷ £15 = 10,000 units to match; more to outperform, assuming no other changes.
7	Usually market development; differentiation focus. Explain product/market definition and valued advantage.
8	Rivalry, entry, substitutes, buyer and supplier power. Income is broader market context, not an industry force.
9	150k kg before; 180k after. Intensity -20%; total +20%.
10	Imported inputs/equipment, profit remittance, displacement, incentives or external harm can offset gross gains.

Specification audit | 4.3.1

All lettered subparts mapped to developed teaching cards; named detail is taught within the indicated cards.

Spec subpart	Detailed teaching coverage	Page(s)
4.3.1.1a	Developed, developing and emerging economies	4
4.3.1.1b	Changing economic power	4
4.3.1.1c	Growth, trade and employment	5
4.3.1.1d	GDP and GDP per capita / Human Development Index	5, 6
4.3.1.2a	Exports and imports	6
4.3.1.2b	International specialisation	7
4.3.1.2c	Foreign direct investment	7
4.3.1.3a	Trade liberalisation and WTO	8
4.3.1.3b	Political change and globalisation	8
4.3.1.3c	Transport and communication costs	9
4.3.1.3d	Growing significance of MNCs	9
4.3.1.3e	Investment flows deepen integration	10
4.3.1.3f	Migration and business	10
4.3.1.3g	Global labour force	11
4.3.1.3h	Structural change	11

Use the visual atlas, numerical labs and evaluation banks to deepen these cards. Coverage of content is distinct from a student demonstrating examination readiness.

Specification audit | 4.3.1 continued

All lettered subparts mapped to developed teaching cards; named detail is taught within the indicated cards.

Spec subpart	Detailed teaching coverage	Page(s)
4.3.1.3i	Business consequences of globalisation	12
4.3.1.4a	Why governments protect industries	12
4.3.1.4b	Tariffs	13
4.3.1.4c	Import quotas	13
4.3.1.4d	Legislation as a trade barrier / Domestic subsidies	14, 14
4.3.1.4e	Responding to protectionism	15
4.3.1.5a	Trading blocs and integration / EU, ASEAN and NAFTA context	15, 16
4.3.1.5b	Business effects of trading blocs	16

Use the visual atlas, numerical labs and evaluation banks to deepen these cards. Coverage of content is distinct from a student demonstrating examination readiness.

Specification audit | 4.3.2

All lettered subparts mapped to developed teaching cards; named detail is taught within the indicated cards.

Spec subpart	Detailed teaching coverage	Page(s)
4.3.2.1a	Push factors: saturation and rivalry	18
4.3.2.1b	Pull factors: sales, scale and risk	18
4.3.2.1c	Offshoring versus outsourcing	19
4.3.2.1d	Extending the product life cycle abroad	19
4.3.2.2a	Market attractiveness: disposable income / Market attractiveness: access and stability	20, 20
4.3.2.2b	Five forces in a foreign market	21
4.3.2.3a	Production location: cost and labour / Production location: logistics and resources / Production location: policy and return	21, 22, 22
4.3.2.4a	Global combinations: risk and scale	23
4.3.2.4b	Enter markets and trading blocs	23
4.3.2.4c	Acquire brands, patents and expertise	24
4.3.2.4d	Secure resources and supplies	24
4.3.2.4e	Maintain global competitiveness	25
4.3.2.4f	Reduce competition	25
4.3.2.4g	Use local knowledge	26
4.3.2.4h	Government or legal requirements	26

Use the visual atlas, numerical labs and evaluation banks to deepen these cards. Coverage of content is distinct from a student demonstrating examination readiness.

Specification audit | 4.3.2 continued

All lettered subparts mapped to developed teaching cards; named detail is taught within the indicated cards.

Spec subpart	Detailed teaching coverage	Page(s)
4.3.2.4i	Access supply chains and distribution	27
4.3.2.4j	Share costs and risks	27
4.3.2.5a	Exchange-rate uncertainty	28
4.3.2.5b	Skill shortages and global competitiveness	28

Use the visual atlas, numerical labs and evaluation banks to deepen these cards. Coverage of content is distinct from a student demonstrating examination readiness.

Specification audit | 4.3.3

All lettered subparts mapped to developed teaching cards; named detail is taught within the indicated cards.

Spec subpart	Detailed teaching coverage	Page(s)
4.3.3.1a	Global marketing and glocalisation	30
4.3.3.1b	Ethnocentric approach / Polycentric approach / Geocentric approach	30, 31, 31
4.3.3.1c	Global product and price adaptation / Global promotion and place adaptation	32, 32
4.3.3.1d	Ansoff for global decisions / Porter's global positioning choices	33, 33
4.3.3.2a	Cultural diversity and segmentation	34
4.3.3.2b	Global niche markets	34
4.3.3.2c	Adapting 4Ps for a global niche	35
4.3.3.3a	Culture, tastes and buying behaviour / Language, branding and unintended meanings	35, 36

Use the visual atlas, numerical labs and evaluation banks to deepen these cards. Coverage of content is distinct from a student demonstrating examination readiness.

Specification audit | 4.3.4

All lettered subparts mapped to developed teaching cards; named detail is taught within the indicated cards.

Spec subpart	Detailed teaching coverage	Page(s)
4.3.4.1a	MNCs: employment and working conditions / MNCs: local firms and communities	38, 38
4.3.4.1b	MNCs: growth, FDI and payments / MNCs: technology and business culture / MNCs: consumers and tax revenues	39, 39, 40
4.3.4.2a	Stakeholder conflicts internationally	40
4.3.4.2b	Emissions, waste and sustainability	41
4.3.4.2c	Pay, conditions and exploitation	41
4.3.4.2d	Ethical global marketing	42
4.3.4.3a	MNC power and political influence / Legal control of MNCs / Consumers, pressure groups and social media / Self-regulation and combined control	42, 43, 43, 44

Use the visual atlas, numerical labs and evaluation banks to deepen these cards. Coverage of content is distinct from a student demonstrating examination readiness.

Validation | coverage, depth and grade readiness

Checked against Pearson IAL Business Unit 4 subject content and relevant quantitative/examination requirements.

57 / 57 lettered subparts covered

The audit maps 4.3.1 Globalisation; 4.3.2 Global markets and expansion; 4.3.3 Global marketing; and 4.3.4 Global industries/MNCs.

All named factors are developed, including the ten international combination motives, all globalisation drivers, market/production considerations, global 4Ps, culture, MNC impacts, ethics and control.

Grade A preparation and beyond

Definitions lead into applied mechanisms, benefits/drawbacks and conditional judgements. Models are explicitly labelled and linked to global decisions. Numerical examples include workings and limitations.

Students must still demonstrate accurate, sustained application, analysis and evaluation in timed source-based responses. Use past questions and feedback to assess readiness; content coverage cannot guarantee a grade.

Synoptic depth: this unit can draw on Units 1, 2 and 3. Prior-unit techniques used here are identified as applications. GDP/HDI, industry analysis, strategy, finance, operations and ethics should be connected where relevant, not listed mechanically.

Accuracy: distinguish nominal/real growth; GDP/GNI/HDI; direct investment/trade/income flows; appreciation quote direction; wage/good-unit cost; standardisation/adaptation; intensity/absolute emissions; and evidence/claims.

Illustrative figures are not current country rankings or actual company forecasts. Country-specific rules and live trading conditions should be taken from the examination extract or verified current evidence.

Sources and navigation | independent teaching resource

Official specification and context notes; use PDF bookmarks to move between sections, models, labs, banks and audits.

Core content: Pearson Edexcel International Advanced Subsidiary/Advanced Level Business Specification, Issue 1, September 2017; first teaching September 2018. Unit 4 printed pp33-37; Appendix 7 quantitative skills and relevant earlier-unit knowledge.

Official Pearson Business specification

USTR: USMCA replaced NAFTA; entered into force 1 July 2020

WTO: role and activities

Specification wording and updated context: NAFTA remains in the published content and historical extracts. USMCA is clearly identified as its successor. Use the relevant period in the question. No current membership counts or live tariff rates are assumed.

Checked 9 November 2026. Independently written, illustrative teaching examples; not endorsed by Pearson. Model use and evaluation go beyond repeating textbook labels. All numerical scenarios require their stated assumptions.

Cover → section maps/cards → visual atlas → worked numerical applications → evaluation banks → applied case/responses → retrieval/answers → specification audit.